General Observation

The proposed Resolution seeks to operationalize the Energy Regulatory Commission's (ERC) mandate under the DOE's *Prescribing the Guidelines for the Conduct of the Mid-Merit Natural Gas Capacity Auction for Gas-Fired Power Generation* by establishing the methodology for determining the Gas Auction Threshold (GAT) Price, the Gas Price Benchmark, the Fuel Cost Pass-Through (FCPT) mechanism, and the Settlement Mechanism applicable to the Mid-Merit Natural Gas Capacity Auction Program. Together, these rules form the financial and regulatory framework through which the auction mechanism will operate.

The Draft Resolution provides a comprehensive framework for implementing the auction program. There remain, however, several areas where the proposed Rules may be further refined to strengthen regulatory certainty, align incentives with least-cost procurement, and protect consumers from unnecessary costs and risks. Given the significant implications of the proposed methodologies on electricity prices, market behavior, and the long-term operation of the auction framework, certain provisions would benefit from additional clarification and refinement to ensure that the auction continues to deliver least-cost outcomes for consumers while maintaining a predictable and administratively workable regulatory framework.

Accordingly, the following observations and proposed refinements are respectfully submitted for consideration:

1. **The auction and settlement framework should preserve competitive discipline over fuel costs and limit the transfer of fuel price and procurement risk to consumers.**

   Fuel costs should be incorporated into the GAT Price. The exclusion of fuel costs from the GAT Price reduces competitive pressure on bidders to manage fuel procurement costs and transfers a significant portion of fuel price risk to consumers through the FCPT. Exclusion of fuel costs in the GAT Price will also result to bids that are not reflective of least cost, and thus determination of the Winning Bid that is not based on least cost – contrary to the intent of the EPIRA. Further, excluding fuel costs from the bids and the determination of the Winning Bid would depart from the established approach in competitive selection processes, where bids are evaluated on the basis of the all-in cost of electricity supply to determine the least-cost offer. This may set an undesirable precedent for future CSPs by allowing a material component of the cost ultimately borne by consumers to be excluded from the determination of the Winning Bid.

   The analysis attached below reflects that even in multiple fuel price scenarios, the levelized cost of electricity when the fuel cost is included in the GAT is consistently lower than the (LCOE 1) costs resulting from the current mechanism scenario, where the Fuel Cost is added after the GAT computation (LCOE 2).[1] Furthermore, in analysing the resulting impact on consumers, the table below reflects that, whether charged through the WESM or through a bilateral power supply contract, LCOE 2 also consistently produces higher electricity prices than LCOE 1. As such, the ERC's proposed benchmark method will better protect consumers through a fuel-inclusive GAT.

   It is crucial to note that the type of fuel used and the procurement strategy of the developer will determine more than half of the generation charge paid by consumers. Internal estimates show that for a new facility, the levelized cost of electricity (LCOE) without fuel will range from Php 2.0448 to Php 3.35648 per kWh, whilst the LCOE with fuel will result to Php 7.2191 to 9.1452 per kWh. This is not surprising given the differences in pricing and tax treatment of indigenous gas and LNG. Earlier this year, BIR issued revenue regulations providing VAT exemption for sale of indigenous fuel as well as electricity produced utilizing indigenous fuel. These nuances should be reflected in the bids, and thus in the GAT price to ensure that consumers will indeed be paying for least cost. Incorporating an appropriate Fuel Cost Assumption into the GAT Price would allow bids to reflect the overall cost of generation, while limiting the FCPT to allowable additional Fuel Costs arising above the amount already incorporated into the winning bid.

[1] Fuel Cost Treatment and Consumer Impact Analysis in the Mid-Merit Gas Auction attached

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The FCPT should incorporate incentives for least-cost fuel procurement. Benchmarking, certification, and audit requirements can prevent the recovery of excessive or unsupported Fuel Costs but do not necessarily incentivize Winning Bidders to procure below the applicable benchmark,[2] upon contract implementation. A savings-sharing mechanism would provide Winning Bidders with a financial incentive to reduce procurement costs while ensuring that the majority of resulting savings accrue to consumers.

Winning Bidders should be required to manage reasonably foreseeable fuel price risk. Allowing fluctuations in prevailing gas prices to be recovered through the FCPT may leave consumers exposed to fuel price volatility that could otherwise be mitigated by the generator. Appropriate long-term contracting and hedging requirements, aligned with the auction contract length, would reduce exposure to short-term price movements and promote greater predictability in electricity costs.

Material fuel cost movements should be managed to reduce sudden impacts on consumers. Even where additional Fuel Costs are reasonable, prudent, and within the applicable Gas Price Benchmark, significant month-on-month changes may result in abrupt increases in electricity bills. A defined variance threshold, with amounts above the threshold recovered over subsequent Settlement Periods subject to ERC approval, would allow legitimate Fuel Costs to be recovered while mitigating sudden rate impacts on consumers.

2. **The Gas Price Benchmark should protect consumers against both excessive gas prices and the risk that gas ceases to represent a least-cost source of mid-merit capacity.**

Reference Gas Prices should be determined using transparent and independently verifiable benchmarks. The determination of Reference Gas Prices will enable the ERC to consider different gas supply arrangements and prevailing market conditions. Requiring reference prices to be supported by transparent market benchmarks, verified contractual prices, and other independently observable data would provide the ERC with a consistent basis for assessing Fuel Costs and help ensure that costs ultimately borne by consumers remain reasonable and reflective of prevailing market conditions.

Fuel costs should be comparable to alternative technologies capable of providing mid-merit service. A Gas Price Benchmark based solely on gas-market references may establish whether a particular gas price is reasonable relative to other gas prices without addressing whether the resulting cost of gas-fired generation remains reasonable for consumers.[3] An Alternative Technology Ceiling would provide an additional consumer-protection safeguard by comparing Fuel Costs against the cost of alternative technologies capable of providing comparable capacity and dispatch characteristics, while allowing differentiated treatment for Indigenous Natural Gas consistent with the policy objectives of RA 12120.

The determination of GAT Prices for different Facility Types incentivizes the build out of less efficient technologies when the GAT price should use best available technology benchmarks to maximize efficiency and minimize costs. The Draft Resolution allows separate GAT Prices for CCGT, OCGT, and gas-reciprocating engine facilities, notwithstanding material differences in their efficiency, capital costs, and operating characteristics depending on what the DOE has elected through the Terms of Reference (TOR). Where, however, the DOE does not specifically state the technology for the auction round, the Commission must propose and prepare the applicable GAT price based on the most cost-efficient technology. The proposed general rule ensures that the auction framework does not inadvertently incentivize higher-cost generation where more efficient alternatives are capable of providing the required mid-merit service.

The methodology and assumptions underlying regulatory benchmarks should be transparent and periodically updated. Parameters such as the Required Equity Return,

[2] NRRI, 2006, Executive Summary, p. 1.
[3] Costello, Ken. A Hard Look at Incentive Mechanisms for Natural Gas Procurement, The National Regulatory Research Institute, 2006. p. 6-8, 20

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cost of debt, debt-equity ratio, interconnection costs, logistics cost caps, and Reference Heat Rates can materially affect the costs ultimately borne by consumers. Supporting these parameters with published methodologies, relevant market benchmarks, and periodic review would provide the ERC with a consistent and transparent basis for determining reasonable costs and help ensure that the resulting benchmarks remain reflective of prevailing market conditions and protective of consumer interests.

3. **Consumer support under the Program should be limited to the period and costs necessary to achieve its intended purpose.**

   The terms of each Auction Round should be responsive to the country's identified mid-merit capacity requirements. The duration of commitments arising from each Auction Round should reflect the system need that the relevant auction is intended to address, taking into account the country's evolving generation mix, demand requirements, grid development, and energy security objectives. Aligning the applicable TOR with identified immediate and intermediate system requirements would help ensure that long-term consumer commitments remain proportionate to the need that justified the procurement.

   The Operating Period should be distinguished from the Settlement Guarantee Period. The economic life used to compute levelized project costs should be distinguished from the period during which consumers guarantee a Winning Bidder's revenues through the Auction Shortfall Amount mechanism. . The settlement guarantee period should be limited to the duration of the contract awarded under the program, as generators may later on operate and earn revenue through other bilateral supply contracts or through the WESM. The Settlement Guarantee should apply only to electricity actually generated and delivered in accordance with the Program and should not constitute an assured or minimum offtake obligation, take-or-pay arrangement, or guarantee of payment for electricity that is not generated and delivered. Using the facility's full economic useful life for GAT Price determination, while separately limiting the Settlement Guarantee Period to a maximum of fifteen (15) years, would reduce annual capital recovery without committing consumers to support the facility throughout its entire operating life.

   Expiry of the Settlement Guarantee Period should not create an entitlement to extension or stranded-cost compensation. A Winning Bidder may continue operating and earning revenues from the WESM or other permitted arrangements after consumer-backed revenue support expires. Treating the expiry of the Settlement Guarantee Period as giving rise to an extension or compensation for undepreciated capital would substantially diminish the consumer protection achieved by limiting the guarantee period in the first place. The Settlement Guarantee should therefore expire without an automatic entitlement to continued support or compensation for the remaining economic life of the facility.

   Recoverable project costs should be limited to costs properly attributable to the awarded generation facility. The GAT Price should reflect the reasonable costs necessary to develop and operate the relevant Mid-Merit Natural Gas Facility during the length of the contract period, but should not become a mechanism for recovering other infrastructure investment or costs from related facilities (e.g. regasification terminals, pipelines), apart from what is proportionately attributable to the facility as a result of relevant services rendered. This means that there should be clear cost boundaries in the payment of services for use of regasification facilities, pipelines, or other fuel supply infrastructure that may serve multiple users or projects should. This will allow the ERC to ensure that consumers support only costs properly attributable to the electricity supplied under the Program.

4. **The preferential treatment afforded to indigenous natural gas should remain tied to actual compliance with the conditions supporting that preference.** The prioritization of Indigenous Natural Gas and Blended Natural Gas supports the policy of encouraging the development and utilization of domestic natural gas resources. The Rules allow a Winning Bidder to use a replacement fuel source where its declared fuel source becomes unavailable or insufficient, providing necessary flexibility to maintain generation during supply disruptions. However, where the use of replacement fuel continues for a prolonged

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period, a Winning Bidder could retain the benefit of the priority originally awarded despite no longer operating on the fuel source that justified such priority. Requiring documentary evidence of fuel unavailability or insufficiency, continued application of the relevant Fuel Cost ceilings, and ERC review where replacement fuel is used for a prolonged period would preserve reasonable operational flexibility while ensuring that preferential treatment continues to serve its intended policy purpose and does not result in unjustified additional costs to consumers.

5. **The settlement and regulatory framework should ensure that consumers pay only the costs and returns necessary to support the program.**

   The equity return incorporated into the GAT Price should be the only equity return available to Winning Bidders under the Program. The Required Equity Return and resulting GAT Price should reflect the risk profile of a project benefiting from government-established revenue support, rather than assuming the risk profile of an otherwise merchant investment. Once the appropriate return has been incorporated into the GAT Price, other components of the Settlement Mechanism should operate only as cost-recovery or reconciliation mechanisms and should not provide additional returns. This would allow the ERC to provide an appropriate investment return while protecting consumers against excessive or duplicative compensation.

   The Settlement Mechanism should prevent and disallow double recovery of Fuel Costs and ensure that fuel procurement savings benefit consumers. Incorporating a Fuel Cost Assumption into the GAP requires corresponding safeguards to ensure that the same Fuel Cost is not subsequently recovered in full through the FCPT. Limiting the FCPT to allowable additional Fuel Costs, separately identifying those amounts in ERC certification and settlement, and accounting for the consumer share of Fuel Procurement Savings would ensure that consumers are charged only the amounts properly recoverable under the Rules.

   Periodic review would help ensure that the Program continues to deliver least-cost outcomes for consumers. The combined effect of the GAT Price, FCPT, Auction Shortfall Amount, and other settlement arrangements may create significant consumer obligations and may affect electricity prices beyond the payments received by individual Winning Bidders, including where gas-fired facilities operate as marginal units and influence WESM clearing prices.[4] Regular review of the Program's costs, market impacts, procurement outcomes, and continued effectiveness in delivering least-cost mid-merit capacity would support the ERC in ensuring that the Program remains responsive to changing market conditions and continues to protect consumer interests over time.

Taken together, these proposed amendments would strengthen the Draft Resolution's consumer protection framework while preserving the investment certainty necessary to support the development of mid-merit natural gas capacity. By maintaining competitive discipline over fuel procurement, establishing transparent and responsive cost benchmarks, limiting consumer support and risk exposure to reasonable costs and defined periods, and strengthening safeguards against excessive or duplicative recovery, the proposed amendments would support the ERC in implementing the Mid-Merit Natural Gas Capacity Auction Program in a manner consistent with least-cost principles, prevailing market conditions, and the long-term interests of electricity consumers.

[4] Gas-fired plants typically sit near the top of the merit order because of their comparatively higher marginal fuel cost relative to renewables. This means that whenever a gas plant is the marginal unit, it sets the clearing price for every generator dispatched in that interval - including zero-marginal-cost renewables that would otherwise have cleared at a lower price. This is not a theoretical concern: the European Commission's Joint Research Centre found that gas-fired power plants set the wholesale electricity price 55 percent of the time in 2022 while generating only 19 percent of total EU electricity. Insofar as the WESM operates on the same marginal-clearing principle, a substantial tranche of long-term-contracted gas capacity introduced through the auction has the potential to embed a similar price-setting dynamic in the Philippine market. See Gasparella, Koolen and Zucker, The Merit Order and Price-Setting Dynamics in European Electricity Markets, European Commission Joint Research Centre, JRC134300, 2023, p. 2

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Fuel Cost Treatment and Consumer Impact Analysis in the Mid-Merit Gas Auction

This note derives the Gas Auction Threshold (GAT), equivalently the plant's Levelized Cost of Electricity (LCOE), under two constructions. One includes fuel commodity cost in the calculation (LCOE 1), and one excludes it and adds it back separately at face value (LCOE 2). The two are compared to show how the resulting price, and its consumer impact, differs by mechanism.

Both constructions employ the same discounted cash flow (DCF) model of a representative gas-fired power plant in the Philippines. Annual cost is composed of capital expenditure (capex), fixed and variable operations and maintenance (O&M), general and administrative (G&A) expense, fuel commodity cost, and, for the imported LNG-sourced share of supply, the corresponding landed logistics cost. This landed logistics cost comprises transport, regasification, applicable tariffs, and value-added tax (VAT). The baseline scenario assumes a blended fuel supply of indigenous (Malampaya) and imported LNG gas, starting at 60 percent indigenous in 2026 and declining to zero by 2034, consistent with Malampaya's assumed depletion. A price margin of ±15 percent is applied to derive Low and High fuel price scenarios around the Baseline case.

RESULTS

I. LCOE Estimates

Table 1 reports LCOE 1 and LCOE 2 for the Blended fuel-mix scenario. LCOE 1 is lower than LCOE 2 across every scenario examined, by a margin of PHP 0.41 to 0.57 per kWh. Bundling fuel cost into the GAT is thus not solely a matter of providing price certainty to consumers. On the face-value measure of pass-through cost, it is also the lower-cost construction.

Table 1. LCOE 1 and LCOE 2, Blended Fuel Mix (PHP/kWh)

	Low	Baseline	High
LCOE 1			
New Facility	7.2945	8.0447	8.7961
Existing Facility	5.9271	6.6705	7.4141
LCOE 2 (fuel added back at face value)			
New Facility	7.7321	8.5466	9.3611
Existing Facility	6.3354	7.1297	7.9240
Difference (LCOE 1 − LCOE 2)			
New Facility	**-0.4376**	**-0.5019**	**-0.5651**
Existing Facility	**-0.4083**	**-0.4592**	**-0.5098**

Source. Author's calculations.

II. Consumer Impact

The estimated GAT/LCOE is translated into consumer impact under two settlement designs. Under the first, it is assumed that the winning bidder contracts directly with a distribution utility. Meralco's published generation charge breakdown is used to estimate the resulting effect on Meralco's consumers. Under the second, a FIT-ALL-like design, mid-merit energy is estimated from the National Grid Corporation of the Philippines' (NGCP) load duration curve and compared against the prevailing Wholesale Electricity Spot Market (WESM) price. The difference is then passed on to consumers as an additional cost. Table 2 reports both designs, across all three price levels.

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Table 2. Estimated Consumer Impact, Blended Fuel Mix (PHP/kWh)

	Meralco			System Wide FIT-ALL		
	Low	**Baseline**	**High**	**Low**	**Baseline**	**High**
LCOE 1						
New Facility	0.2646	0.2946	0.3247	0.2797	0.4541	0.6288
Existing Facility	0.2098	0.2396	0.2693	-0.0382	0.1346	0.3075
LCOE 2 (fuel added back at face value)						
New Facility	0.2821	0.3147	0.3473	0.3814	0.5708	0.7601
Existing Facility	0.2261	0.2579	0.2898	0.0567	0.2414	0.4260
Impact Difference (LCOE 1 − LCOE 2)						
New Facility	-0.0175	-0.0201	-0.0226	-0.1017	-0.1167	-0.1314
Existing Facility	-0.0164	-0.0184	-0.0204	-0.0949	-0.1068	-0.1185

Source. Author's calculations.

Across every case examined, LCOE 2 produces a larger consumer surcharge than LCOE 1. This is the gap consumers would pay as it reflects the amount a pass-through mechanism bills each period. This finding is consistent with the LCOE comparison above. A fuel-inclusive Price Offer need not trade consumer cost for consumer certainty. On the face-value measure of how a pass-through mechanism actually settles, it provides both.

Key Assumptions

- Capacity, capacity factor, heat rate, economic life, gearing, cost of debt, WACC, capex, fixed and variable O&M, and G&A are drawn from a reference plant model based on SMC's Batangas combined-cycle gas turbine facility.
- Corporate income tax follows the CREATE Act, applying whichever is higher of 25 percent regular tax on net income or 2 percent MCIT on a narrower revenue-based tax base, effective from the plant's fourth operating year.
- The indigenous (Malampaya) fuel price is the Department of Energy's 2023 average, escalated at 1.60 percent per year in real terms. The LNG landed fuel price is the World Bank Pink Sheet's 2025 average Japan LNG price, escalated at 1.13 percent per year in real terms.
- The Low and High price scenarios apply a uniform 15 percent multiplier to both fuel prices around this Prevailing baseline.
- The Landed Logistics Cost is based on Clarete (2018) transport and regasification cost estimate for imported LNG, inflated to current terms using U.S. CPI. VAT has also been applied for this cost.
- The indigenous share of supply in the Blended scenario, declining from 60 percent in 2026 to zero by 2034, follows the Malampaya depletion timeline announced in the President's State of the Nation Address.
- The fuel VAT rate and its exemption for indigenous-sourced gas follow Section 38 of RA No. 12120 and BIR Revenue Regulations No. 2-2026, applied here only to the LNG-sourced share of the Blended fuel price.

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Parameter	Value	Unit
Reference plant and financing		
Capacity	1,313	MW
Capacity factor (mid-merit dispatch)	45%	—
Economic life (New / Existing Facility)	30 / 27.4	years
Heat rate	5,900	BTU/kWh
Gearing (Debt / (Debt + Equity))	70%	—
Cost of debt (pre-tax)	8%	—
WACC	10%	—
Corporate income tax	25% regular CIT or 2% MCIT from Year 4, whichever is higher	—
Capital and O&M (USD)		
Overnight capex	900	USD/kW
Fixed O&M	13.71	USD/kW-yr
Variable O&M	2.00	USD/MWh
G&A (% of Fixed + Variable O&M)	6%	—
Fuel mix and price (Blended scenario)		
Indigenous share of supply, 2026 → 2034	60% to 0%	—
Indigenous (Malampaya) fuel price, prevailing	3.5788	PHP/kWh f.c.e.
LNG landed fuel price, prevailing	5.6894	PHP/kWh f.c.e.
Price multiplier (Low / High)	15%	—
Capped Landed Logistics Cost (CLLC), inflated	2.93	USD/MMBtu
Tax and tariff treatment		
Fuel VAT rate (applied to LNG-sourced share only)	12%	—
VAT exemption basis, indigenous-sourced gas	RA No. 12120 Sec. 38 / RR No. 2-2026	—

Source. SMC-Batangas-CCGT reference plant model, DOE Malampaya average price, World Bank Pink Sheet (Japan LNG), Clarete (2018), and CREATE Act

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COMMENTS AND PROPOSALS ON THE DRAFT GUIDELINES FOR THE MID-MERIT NATURAL GAS CAPACITY AUCTION

	Current Wording	Proposed Wording	Rationale
1	**Section 1. Title.** These Rules shall be known and cited as the "Rules on the Gas Auction Threshold Price Determination Methodology, Gas Price Benchmark, and Settlement Mechanism for the Mid-Merit Natural Gas Capacity Auction Program" or the "Gas Auction Implementing Rules" (GAIR).		
2	**Section 2. Objectives.** These Rules are issued to: 2.1 Prescribe the methodology by which the Commission shall determine the Gas Auction Threshold (GAT) Price for each Auction Round under the Mid- Merit Natural Gas Capacity Auction Program, as mandated under Section 6.1 of the Gas Auction Circular; 2.2 Establish the Gas Price Benchmark Methodology defining the prevailing market reference price for natural gas and the allowable caps on add-on costs, to be used as the basis for evaluating Fuel Cost Pass-Through claims submitted by Winning Bidders, as mandated under Section 18.2.2 of the Gas Auction Circular; 2.3 Prescribe the requirements and standards for the Commission's approval of the Settlement Mechanism submitted by the Market Operator (MO), ensuring that Winning Bidders receive full revenue recovery of their endorsed Gas Auction Price and allowable Fuel Costs through the Wholesale Electricity Spot Market (WESM)	2.2 Establish the Gas Price Benchmark Methodology defining the prevailing market reference price for natural gas and the allowable caps on add-on costs, to be used as the basis for evaluating Fuel Cost Pass-Through claims submitted by Winning Bidders, as mandated under Section 18.2.2 of the Gas Auction Circular**, AND TO LIMIT CONSUMER EXPOSURE TO FUEL PRICE AND FUEL PROCUREMENT RISK**; 2.3 Prescribe the requirements and standards for the Commission's approval of the Settlement Mechanism submitted by the Market Operator (MO), ensuring that Winning Bidders receive full revenue recovery of their endorsed Gas Auction Price ~~and allowable Fuel Costs~~ **TOGETHER WITH ANY ALLOWABLE ADDITIONAL**	Strengthens the ERC's ability to use the Gas Price Benchmark as a consumer protection mechanism, rather than solely as a means of determining whether Fuel Costs are reasonable and prudent. This allows the ERC to limit the extent to which fuel price volatility and procurement risk may ultimately be passed through to consumers. Aligns the objective of the Settlement Mechanism with the revised Fuel Cost framework while ensuring that consumers are charged only additional Fuel Costs permitted by the ERC and receive their share of fuel procurement savings.

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	and/or off-taker Distribution Utilities (DUs), as mandated under Sections 19.2.1 and 22 of the Gas Auction Circular;	**FUEL COST RECOVERABLE THROUGH THE FUEL COST PASS THROUGH (FCPT), LESS ANY CONSUMER SHARE OF FUEL PROCUREMENT SAVINGS** through the Wholesale Electricity Spot Market (WESM) and/or off-taker Distribution Utilities (DUs), as mandated under Sections 19.2.1 and 22 of the Gas Auction Circular;	
	2.4 Establish the audit and enforcement framework governing Fuel Cost Pass-Through claims, reporting obligations of Winning Bidders and the MO, and the Commission's powers of review, disallowance, and penalty; and	2.4 Establish the audit and enforcement framework governing Fuel Cost Pass-Through claims, reporting obligations of Winning Bidders and the MO, and the Commission's powers of review, disallowance, and penalty, **CONSISTENT WITH THE TRANSPARENCY AND LEAST COST OBJECTIVES OF THE EPIRA**; and	Strengthens the ERC's regulatory framework by expressly linking audit, enforcement, least-cost procurement, and periodic review to consumer protection – all aligned with EPIRA. This provides the ERC with a clear basis to continually assess whether the Program remains effective in delivering least-cost outcomes and protecting consumers throughout its implementation.
	2.5 Protect the interest of electricity consumers by ensuring that awards under the Mid-Merit Natural Gas Capacity Auction Program are made at cost-reflective, competitively determined prices, and that no costs exceeding prudent and reasonable benchmarks are imposed on the consuming public.	2.5 Protect the interest of electricity consumers by ensuring that awards under the Mid-Merit Natural Gas Capacity Auction Program are made at ~~cost-reflective~~ **LEAST COST**, competitively determined prices, and that no costs exceeding prudent and reasonable benchmarks are imposed on the consuming public; **AND,** **2.6 ESTABLISH A RIGOROUS REVIEW PROCESS TO ENSURE THE PROGRAM CONTINUES TO DELIVER LEAST-COST OUTCOMES AND PROTECTION OF CONSUMERS.**	
3	**Section 3. Scope of Application.** These Rules shall apply to: 3.1 All entities participating in, or awarded under, any Auction Round of the Mid-Merit Natural Gas Capacity		

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	Auction Program conducted pursuant to the Gas Auction Circular, including Prospective Bidders, Qualified Bidders, and Winning Bidders operating mid-merit natural gas power facilities; 3.2 The MO, in its capacity as administrator of the Settlement Mechanism and the WESM; 3.3 All DUs designated as off-takers under the Power Supply Procurement Plan (PSPP)-Based Auction Track; and 3.4 The DOE, to the extent of coordination with the Commission in the determination and issuance of the GAT Price and endorsement of the Gas Auction Price of Winning Bidders.			
4	**Section 4. Definition of Terms.** As used in these Rules, the following terms shall have the meanings ascribed to them herein. Terms not defined herein shall have the same meanings as ascribed to them in the Gas Auction Circular, Republic Act No. 12120 (PNGIDA), EPIRA, and the WESM Rules, in that order of priority.			
	All-In Project Cost (AIPC)	The total capital expenditure required to develop, construct, and commission a Mid-Merit Natural Gas Facility, including EPC/construction costs, civil and land development costs, equipment procurement, balance-of-plant infrastructure, pre-development expenditures, transmission line and substation interconnection costs,		

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		environmental compliance costs, financial close and financing fees, and contingency allowances, expressed in Philippine Pesos per kilowatt (PhP/kW) of Installed Capacity.		
			Proposed to add a new section. **ALLOWABLE ADDITIONAL FUEL COST (AFC)** **THE PORTION OF A WINNING BIDDER'S ACTUAL, REASONABLE, PRUDENT, AND VERIFIED FUEL COST FOR A SETTLEMENT PERIOD THAT EXCEEDS THE FUEL COST INCORPORATED INTO ITS GAS AUCTION PRICE AND IS PERMITTED TO BE RECOVERED THROUGH THE FCPT, SUBJECT TO THE GAS PRICE BENCHMARK AND OTHER APPLICABLE LIMITATIONS UNDER THESE RULES.**	Provides a clear basis for the ERC to distinguish between Fuel Costs already incorporated into the GAP and additional Fuel Costs that may be recovered through the FCPT, preventing double recovery from consumers.
	Auction Round	Each competitive bidding event conducted by the DOE for the procurement of Mid-Merit Natural Gas Capacity under the Gas Auction Circular, identified by round number.		
	Auction Shortfall Amount	For any Winning Bidder (g) in any Settlement Period, the positive difference between the Total Mid-Merit Settlement Amount (MMSAg) and the Energy Trading Amount (ETAg) settled by the MO in the WESM, i.e., MMSAg minus ETAg, when MMSAg exceeds ETAg.		

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	Auction Flowback Amount	For any Winning Bidder (g) in any Settlement Period, the positive difference between the Energy Trading Amount (ETAg) and the Total Mid-Merit Settlement Amount (MMSAg) settled in the WESM, i.e., ETAg minus MMSAg, when ETAg exceeds MMSAg.		
	BCQ	Bilateral Contract Quantity, as defined under the WESM Rules; the portion of energy output declared by a generator as contracted supply for the purpose of WESM settlement.		
	Blended Natural Gas	Natural gas supplied to a Blended Natural Gas Facility, as such facility is defined under the Gas Auction Circular, consisting of a combination of Indigenous Natural Gas and Imported LNG in the proportions required to be maintained under the Circular.		
	Capacity Factor (CF)	The ratio of the actual energy output of a Mid-Merit Natural Gas Facility during a reference period to the maximum possible energy output over the same period, expressed as a percentage or decimal. For the purpose of the GAT Price determination, the Capacity Factor reflects the operational profile of a mid-merit plant: dispatched above baseload		

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		minimum but below full-load continuous operation.		
	CCGT	Combined Cycle Gas Turbine; a high-efficiency power generation configuration combining a gas turbine with a steam turbine recovering exhaust heat, suitable for baseload to mid-merit dispatch.		
	Commission or ERC	Energy Regulatory Commission, the independent economic regulator of the electric power industry under EPIRA.		
	DCF Model	Discounted Cash Flow Model; the financial modeling framework prescribed under Rule 2 of these Rules, by which the Commission determines the minimum revenue stream required to make a mid-merit natural gas project financially viable, and from which the GAT Price is derived as Levelized Cost of Energy (non-fuel component).	Discounted Cash Flow Model; the financial modeling framework prescribed under Rule 2 of these Rules, by which the Commission determines the minimum revenue stream required to make a mid-merit natural gas project financially viable, and from which the GAT Price is derived as Levelized Cost of Energy ~~(non-fuel component)~~ **INCLUDING THE FUEL COST ASSUMPTIONS REQUIRED UNDER THESE RULES**.	Aligns the definition with the proposed inclusion of Fuel Costs in the GAT Price and ensures that the Commission assesses the full cost of generation when determining the auction ceiling.
	Distribution Utility (DU)	Any electric cooperative, private corporation, government-owned utility, or similar entity authorized to distribute electricity to end-users within a franchise area, and designated as an off-taker under the PSPP-Based Auction Track.		
	Energy Trading Amount (ETA)	The total monetary amount settled by the MO to a Winning Bidder (g)		

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		for its actual energy deliveries into the WESM during a given Settlement Period, based on the applicable WESM prices for the energy quantities delivered, net of applicable WESM charges and ancillary service settlements.		
	Fuel Cost (FC)	The actual, reasonable, and prudent cost per kilowatt-hour (PhP/kWh) incurred by a Winning Bidder in procuring natural gas to fuel its Mid-Merit Natural Gas Facility, as certified by the Commission following audit under Rule 4 of these Rules. The Fuel Cost is computed as the product of the applicable Gas Price Benchmark reference rate (in PhP/MMBtu) and the verified Heat Rate of the facility (in MMBtu/kWh), plus allowable add-on costs, and shall not exceed the Gas Price Benchmark ceiling for the applicable gas source type.	The actual, reasonable, and prudent cost per kilowatt-hour (PhP/kWh) incurred by a Winning Bidder in procuring natural gas to fuel its Mid-Merit Natural Gas Facility, as certified by the Commission following audit under Rule 4 of these Rules. The Fuel Cost is computed as the product of the applicable Gas Price Benchmark reference rate (in PhP/MMBtu) and the verified Heat Rate of the facility (in MMBtu/kWh), plus allowable add-on costs, and shall not exceed the Gas Price Benchmark ceiling for the applicable gas source type. **FOR PURPOSES OF THE FCPT, ONLY THE PORTION OF THE VERIFIED FUEL COST PERMITTED AS AN ALLOWABLE ADDITIONAL FUEL COST UNDER THESE RULES SHALL BE RECOVERABLE IN ADDITION TO THE GAP**.	Clarifies that verification of actual Fuel Cost does not permit separate recovery of Fuel Costs already incorporated into the GAP, protecting consumers against double recovery.
	Gas Auction Circular	DOE Department Circular No. DC2026-06-0013, "Prescribing the Guidelines for the Conduct of the Mid-Merit Natural Gas Capacity Auction for Gas-Fired Power Generation," as may be amended.		
	Gas Auction Price (GAP)	The Price Offer of a Winning Bidder as declared and approved by the DOE in the Auction Proper,	The Price Offer of a Winning Bidder as declared and approved by the DOE in the Auction Proper, and endorsed by the DOE, through the Natural Gas Auction	Aligns the definition of GAP with the proposed inclusion of Fuel Costs in the bid and makes clear that consumers should

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		and endorsed by the DOE, through the Natural Gas Auction Committee (NGAC), to the Commission for approval; the maximum price (in PhP/kWh) at which a Winning Bidder is entitled to recover its non-fuel generation costs through the Settlement Mechanism. The GAP is the Commission - approved equivalent of the Winning Bidder's Price Offer, as reflected in the Winning Bidder's Certificate of Award pursuant to the Gas Auction Circular.	Committee (NGAC), to the Commission for approval; the maximum price (in PhP/kWh) at which a Winning Bidder is entitled to recover its ~~non-fuel generation costs~~ **BIDDED GENERATION COSTS, INCLUDING THE FUEL COST INCORPORATED INTO ITS PRICE OFFER**, through the Settlement Mechanism. The GAP is the Commission - approved equivalent of the Winning Bidder's Price Offer, as reflected in the Winning Bidder's Certificate of Award pursuant to the Gas Auction Circular.	not separately pay Fuel Costs already incorporated into the winning price.
	Gas Auction Threshold (GAT) Price	The maximum allowable Price Offer in an Auction Round, as determined and issued by the Commission pursuant to Rule 2 of these Rules. Any Price Offer exceeding the GAT Price for the applicable Facility Type shall be automatically disqualified.		
	Gas Price Benchmark	The reference market price for natural gas from each allowable source type (Indigenous, Imported LNG, or Blended), including applicable caps on add-on costs, established by the Commission pursuant to Rule 3 of these Rules and used as the ceiling for Fuel Cost Pass-Through claims.	The reference market price for natural gas from each allowable source type (Indigenous, Imported LNG, or Blended), including applicable caps on add-on costs, established by the Commission pursuant to Rule 3 of these Rules and used as the ceiling for ~~Fuel Cost Pass-Through claims~~ **DETERMINING ALLOWABLE ADDITIONAL FUEL COST RECOVERY AND FUEL PROCUREMENT SAVINGS UNDER RULE 4.**	Clarifies the ERC's role in using the Gas Price Benchmark to determine both the limits of additional Fuel Cost recovery and the savings that should benefit consumers.
	GESQ	Gross Energy Settlement Quantity, as used in WESM settlement; the		

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		total quantity of energy settled for a WESM market participant during a given Settlement Period, used as the basis for pro-rating collection and flowback allocations.		
	Gas Sale and Purchase Agreement (GSPA)	Any agreement between a Winning Bidder and a natural gas supplier for the sale and delivery of natural gas to the Winning Bidder's Mid-Merit Natural Gas Facility.		
	Heat Rate	The thermal efficiency of a Mid-Merit Natural Gas Facility, expressed in million British thermal units per kilowatt-hour Kilowatt-hour (MMBtu/kWh); the quantity of fuel energy required to generate one kilowatt-hour of electrical energy.		
	Indigenous Natural Gas	Natural gas produced from Philippine upstream gas fields pursuant to a Service Contract, Production Sharing Contract, or other mineral production-sharing agreement approved by the DOE, including but not limited to natural gas from the Malampaya field and any successor Philippine offshore or onshore gas fields.		
	Installed Capacity	The nameplate generating capacity of a Mid-Merit Natural Gas Facility, expressed in megawatts (MW).		

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	Invitation to Bid	The formal invitation issued by the DOE to Prospective Bidders inviting the submission of technical and financial proposals for an Auction Round.		
			Proposed to add a new section. **INTERNAL RATE OF RETURN (IRR)** **THE DISCOUNT RATE AT WHICH THE NET PRESENT VALUE OF A PROJECT'S EQUITY CASH FLOWS EQUALS ZERO. FOR PURPOSES OF THESE RULES, THE EQUITY IRR OF THE REFERENCE PROJECT, AS SOLVED UNDER SECTION 8.4, IS CALIBRATED TO EQUAL THE REQUIRED EQUITY RETURN (RE) PRESCRIBED UNDER ANNEX "A," AND REPRESENTS THE SOLE RETURN ON AND OF CAPITAL AVAILABLE TO A WINNING BIDDER UNDER THE MID-MERIT NATURAL GAS CAPACITY AUCTION PROGRAM.**	Provides the ERC with an express basis for ensuring that the return incorporated into the GAT Price represents the full return available to a Winning Bidder under the Program. This enables the ERC to prevent additional returns from being recovered through other components of the Settlement Mechanism and protects consumers from compensating Winning Bidders beyond the return contemplated in the GAT Price.
	JKM	Japan/Korea Marker; the benchmark price index for spot liquefied natural gas deliveries to Japan, South Korea, Taiwan, and China, as published by S&P Global Platts or its successor; the primary LNG price reference applicable to the Asia-Pacific region.		
	LNG	Liquefied Natural Gas; natural gas that has been cooled to liquid form for ease of storage or transport, imported into the Philippines through floating storage and		

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		regasification units (FSRUs), import terminals, or other approved facilities.		
	Market Operator (MO)	The Independent Electricity Market Operator of the Philippines (TEMOP), or such entity as may be duly authorized by the ERC to operate the WESM.		
	Mid-Merit Natural Capacity Auction Program	The government program for the competitive procurement of mid-merit natural gas generation capacity as provided under the Gas Auction Circular.		
	Mid-Merit Natural Gas Facility	A natural gas-fired power plant, operating in the mid-merit dispatch band, awarded a Certificate of Award under the Mid-Merit Natural Gas Capacity Auction Program, which may include Combined Cycle Gas Turbines (CCGT), Open Cycle Gas Turbines (OCGT), gas - reciprocating engines, or such other gas-fired technologies as may be approved by the DOE and the Commission.		
	MMSA	Total Mid-Merit Settlement Amount; as defined in Section 29 of these Rules.		
	OCGT	Open Cycle Gas Turbine; a single - cycle gas turbine power generation configuration suitable		

		for peaking or flexible mid-merit dispatch, with lower capital cost and lower efficiency than CCGT.		
	Operating Period	The projected commercial operating life of a Mid-Merit Natural Gas Facility used in the DCF Model for GAT Price determination.		
	Price Offer	The price per kilowatt-hour (PhP/kWh) submitted by a Qualified Bidder in an Auction Round, exclusive of Fuel Costs, which shall not exceed the applicable GAT Price.	The price per kilowatt-hour (PhP/kWh) submitted by a Qualified Bidder in an Auction Round, ~~exclusive~~ **INCLUSIVE** of Fuel Costs, which shall not exceed the applicable GAT Price.	The ERC may strengthen consumer protection by incorporating Fuel Costs into the Price Offer, preserving competitive discipline over fuel procurement by requiring bidders to account for fuel costs and the management of fuel price and procurement risk in their bids
	Power Supply Procurement Plan (PSPP)	The plan submitted by Distribution Utility identifying its uncontracted mid-merit capacity requirements, used by the DOE, through the NGAC, as the basis for aggregating mid-merit demand and allocating Awarded Gas Capacity to DUs under a PSPP-Based Auction Track, pursuant to Section 5.3.2 of the Gas Auction Circular.		
	PSPP-Based Auction Track	An Auction Round variant under the Gas Auction Circular wherein Winning Bidders individually execute Power Supply Agreements with designated off-taker DUs; DUs settle energy charges directly with Winning		

		Bidders based on the endorsed GAP.		
	Power Development Plan (PDP)	The national plan prepared and updated by the DOE setting out the country's long-term electricity demand and supply projections, used as the macro-level basis for determining system-wide mid-merit natural gas capacity requirements under Section 5.3.1 of the Gas Auction Circular.		
	PDP-Based Auction Track	An Auction Round variant under the Gas Auction Circular wherein the MO acts as the settlement counterparty for billing and collection on behalf of Winning Bidders against all WESM customers on a system-wide basis.		
			Proposed to add a new section. **REFERENCE ALTERNATIVE TECHNOLOGY** **A REFERENCE RENEWABLE ENERGY FACILITY PAIRED WITH BATTERY ENERGY STORAGE, OF A CONFIGURATION AND DURATION DETERMINED BY THE COMMISSION TO BE CAPABLE OF PROVIDING FIRM CAPACITY AND DISPATCH CHARACTERISTICS REASONABLY COMPARABLE TO A MID-MERIT NATURAL GAS FACILITY OF THE APPLICABLE FACILITY TYPE, USED SOLELY FOR PURPOSES OF COMPUTING THE ALTERNATIVE TECHNOLOGY CEILING UNDER SECTIONS 14.3(B) AND 15.1-A.**	The introduction of this terminology is necessary for the proposed adoption of a Reference Alternative Technology in the benchmark cap in Sections 14 and 15.

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	Settlement Mechanism	The rules, formulas, and procedures governing the billing, payment, reconciliation, and settlement of transactions arising from Awarded Gas Capacities and the Gas Auction Price, as submitted by the MO and Commission approved by the Commission pursuant to Rule 5 of these Rules.		
	Settlement Period	The billing or settlement interval used under the applicable Settlement Mechanism, as approved by the Commission.		
	WACC	Weighted Average Cost of Capital; the blended rate of return required by both debt holders and equity investors in a Mid-Merit Natural Gas Facility, weighted by the respective shares of debt and equity in the project's financing structure.		
	WESM	Wholesale Electricity Spot Market, established under Section 30 of the EPIRA.		
	Winning Bidder	A Qualified Bidder that has been issued a Certificate of Award by the DOE upon completion of an Auction Round, with a Gas Auction Price endorsed by the DOE and approved by the Commission.		

Gas Auction Threshold Price Determination Methodology			
5	**Section 5. Purpose and Function of the GAT Price.** The GAT Price is the price ceiling for each Auction Round under the Mid-Merit Natural Gas Capacity Auction Program. It represents the maximum levelized non-fuel cost per kilowatt-hour at which mid-merit natural gas generation capacity may be economically developed, financed, and operated in the Philippines, computed using a set of financial and technical assumptions. Any Price Offer submitted by a Qualified Bidder that exceeds the GAT Price for the applicable Facility Type shall be automatically disqualified. The GAT Price covers the Winning Bidder's non-fuel generation costs, including capital recovery, financing costs, fixed and variable Operations and Maintenance (0&M) costs, General and Administrative (G&A) costs, applicable local and national taxes, and return on equity. Fuel Costs are excluded from the GAT Price and the resulting Gas Auction Price and are recovered separately through the Fuel Cost Pass-Through mechanism governed by Rule 4 of these Rules.	**Section 5. Purpose and Function of the GAT Price.** The GAT Price is the price ceiling for each Auction Round under the Mid-Merit Natural Gas Capacity Auction Program. It represents the maximum levelized non-fuel **AND FUEL** cost per kilowatt-hour at which mid-merit natural gas generation capacity may be economically developed, financed, and operated in the Philippines, computed using a set of financial and technical assumptions. Any Price Offer submitted by a Qualified Bidder that exceeds the GAT Price for the applicable Facility Type shall be automatically disqualified. The GAT Price covers the Winning Bidder's non-fuel generation costs, including capital recovery, financing costs, fixed and variable Operations and Maintenance (0&M) costs, General and Administrative (G&A) costs, applicable local and national taxes, and return on equity; **PROVIDED, THAT RECOVERY OF SUCH COSTS SHALL BE LIMITED TO THE DURATION OF THE CONTRACT UNDER THE PROGRAM AND SHALL NOT INCLUDE ANY COSTS ASSOCIATED WITH AN LNG TERMINAL FACILITY AND GAS PIPELINES.** Fuel Costs are ~~excluded from~~ **INCLUDED IN** the GAT Price and the resulting Gas Auction Price ~~and are recovered~~, **SUCH THAT BIDDERS COMPETE ON THE BASIS OF THEIR FUEL COSTS AND ABILITY TO MANAGE FUEL PRICE AND PROCUREMENT RISK. ONLY ALLOWABLE FUEL COSTS IN EXCESS OF THE FUEL COST INCLUDED IN THE GAS AUCTION PRICE MAY BE RECOVERED**	This amendment strengthens consumer protection by clarifying both the scope of recoverable project costs and the treatment of Fuel Costs. First, consumer support should be limited to costs attributable to the generation facility and the applicable contract period, without extending to costs associated with an LNG terminal facility, whether through ownership, affiliation, or contractual arrangements. Second, incorporating Fuel Costs into the GAT Price and resulting GAP would preserve competitive discipline over fuel procurement by requiring bidders to account for fuel costs and the management of fuel price and procurement risk in their bids. The Fuel Cost Pass-Through would then apply only

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		THROUGH THE FUEL COST PASS-THROUGH MECHANISM, SUBJECT TO THE LIMITS PRESCRIBED UNDER ~~governed~~ by Rule 4 of these Rules.	to allowable additional Fuel Costs above the amount already incorporated into the winning bid, subject to the applicable safeguards and limitations discussed below.
6	**Section 6. Facility Types and Applicable GAT Prices.** The Commission shall determine a separate GAT Price for each Facility Type eligible to participate in the Mid-Merit Natural Gas Capacity Auction Program. Unless the DOE specifies otherwise in the Terms of Reference for a specific Auction Round, the Facility Types shall include: 6.1 CCGT or OCGT Facilities - Combined Cycle Gas Turbine power plants utilizing natural gas as the primary fuel, with or without supplementary firing capability; 6.3 Gas-Reciprocating Engine Facilities - Power plants utilizing gas engines or reciprocating internal combustion engines primarily fueled by natural gas;	**Section 6. Facility Types and Applicable GAT Prices.** The Commission shall determine a separate GAT Price for each Facility Type eligible to participate in the Mid-Merit Natural Gas Capacity Auction Program. Unless the DOE specifies otherwise in the Terms of Reference for a specific Auction Round, the Facility Types shall include: 6.1 CCGT or OCGT Facilities - Open Cycle Gas Turbine or peaking gas turbine power plants utilizing natural gas as the primary fuel; **PROVIDED, THAT THE ERC MUST PROVIDE FURTHER JUSTIFICATION ON THE BASIS OF LEAST-COST PRINCIPLES IN CASES WHERE IT SHALL DETERMINE A GAT PRICE FOR OCGT FACILITIES;** **6.2** Gas-Reciprocating Engine Facilities - Power plants utilizing gas engines or reciprocating internal combustion engines primarily fueled by natural gas;	CCGT and OCGT facilities have different efficiency, capital cost, and operating characteristics, which may support the determination of separate GAT Prices for each Facility Type. However, given the comparatively lower fuel efficiency of OCGT technology, a separate GAT Price for OCGT facilities should be supported by the specific system need and operating characteristics that make such technology appropriate for mid-merit generation. Providing the basis for this determination by reference to least-cost principles would support the ERC in ensuring that the applicable GAT Price reflects the most appropriate technology for the required service while protecting consumers from unnecessary costs.

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	and 6.4 Other Gas-Fired Technologies - Such other natural gas-fired power generation technologies as the DOE may include in a specific Auction Round. The Commission may determine a single unified GAT Price for all Facility Types if the technical and cost profiles are sufficiently similar, or may establish separate GAT Prices where material differences in capital cost structure or operational parameters warrant differentiated ceilings. The differentiation of the GAT Price shall generally follow the differentiation in the installation targets specified under the DOE's Terms of Reference (TOR) for the Auction Round. Where the TOR does not specify the Facility Type, the Commission shall determine the technology that best represents the upcoming projects with issued Service Contracts, in order to approximate the cost of the power plant likely to be built.	and **6.3** Other Gas-Fired Technologies - Such other natural gas-fired power generation technologies as the DOE may include in a specific Auction Round. The Commission may determine a single unified GAT Price for all Facility Types if the technical and cost profiles are sufficiently similar, or may establish separate GAT Prices where material differences in capital cost structure or operational parameters warrant differentiated ceilings. The differentiation of the GAT Price shall generally follow the differentiation in the installation targets specified under the DOE's Terms of Reference (TOR) for the Auction Round**.** Where the TOR does not specify the Facility Type, the Commission shall, **FOR PURPOSES OF DETERMINING THE APPLICABLE GAT PRICE, SELECT AN APPROPRIATE REFERENCE TECHNOLOGY AND PROVIDE JUSTIFICATION FOR ITS SELECTION BASED ON LEAST-COST AND EFFICIENCY CONSIDERATIONS.** ~~determine the technology that best represents the upcoming projects with issued Service Contracts, in order to approximate the cost of the power plant likely to be built~~.	Ensures that the selected facility shall be the most cost-efficient in meeting demand as identified in the TOR, consistent with the mandate of DUs to procure electricity at least cost under EPIRA.
7	Section 7. Timeline for Issuance. The Commission shall observe the following timelines in issuing the GAT Price: 7.1 First Auction Round. Not later than sixty (60) calendar days after the issuance of the Invitation to Bid (ITB) for the first Auction Round, the Commission shall issue: (a) The approved Gas Auction Threshold Price		

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	Determination Methodology in accordance with these Rules; or (b) The initial GAT Price for each applicable Facility Type. 7.2 Succeeding Auction Rounds. Not later than thirty (30) calendar days after the issuance of the ITB for each succeeding Auction Round, the Commission shall issue the GAT Price for each applicable Facility Type, reflecting any revisions in the key parameters based on updated cost data, market conditions, or other relevant factors pursuant to Section 16 of these Rules. 7.3 Coordination with DOE. The Commission shall transmit the GAT Price to the DOE for publication pursuant to Section 9.3 of the Gas Auction Circular prior to the commencement of the Auction Proper. Provided, That where the sixty (60)-day period under Section 7.1 would result in transmittal beyond the thirty (30)-day publication deadline under Section 9.3 of the Gas Auction Circular, the Commission shall use best efforts to issue and transmit the GAT Price for the first Auction Round within thirty (30) calendar days from the issuance of the ITB, or shall coordinate with the DOE for the appropriate adjustment of the publication timeline.		
8	**Section 8. Discounted Cash Flow (DCF) Model.** The Commission shall use a Discounted Cash Flow (DCF) Model to determine the GAT Price for each Facility Type. The DCF Model shall operate on the following principles: 8.1 Reference Project and Facility Type. For each Facility Type, the Commission shall adopt a single reference project sized at the Reference Installed	**Section 8. Discounted Cash Flow (DCF) Model.** The Commission shall use a Discounted Cash Flow (DCF) Model to determine the GAT Price for each Facility Type. The DCF Model shall operate on the following principles: 8.1 Reference Project and Facility Type. For each Facility Type, the Commission shall adopt a single reference project sized at the Reference Installed	The size and technology of the reference project will affect the resulting GAT Price, as larger facilities may benefit from

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	Capacity and Reference Net Capacity Factor prescribed in Annex "A," reflecting the Reference Construction Period and Reference Operating Period likewise prescribed in Annex "A." The Reference All-In Project Cost, expressed in PhP/kW, shall be treated as a single Year-o capital outlay for purposes of the DCF Model.	Capacity and Reference Net Capacity Factor prescribed in Annex "A," reflecting the Reference Construction Period and Reference Operating Period likewise prescribed in Annex "A." **THE REFERENCE PROJECT SHALL REFLECT THE BEST AVAILABLE TECHNOLOGY FOR THE APPLICABLE FACILITY TYPE, AND THE COMMISSION SHALL ACCOUNT FOR MATERIAL DIFFERENCES IN CAPITAL AND OPERATING COSTS ATTRIBUTABLE TO PLANT SIZE TO ENSURE THAT THE REFERENCE INSTALLED CAPACITY DOES NOT UNDULY DISADVANTAGE SMALLER FACILITIES**.	economies of scale and therefore have lower costs per unit than smaller facilities. A reference project that does not account for material differences in project scale could therefore result in a GAT Price that does not adequately reflect the range of projects capable of providing the required mid-merit service. Establishing the reference project based on representative project characteristics, best available technology, and relevant differences in costs across facility sizes would provide the ERC with a sound basis for determining an appropriate GAT Price while ensuring that the resulting price ceiling remains competitive and protective of consumer interests.
		The Reference All-In Project Cost, expressed in PhP/kW, shall be treated as a single Year-o capital outlay for purposes of the DCF Model. **THE DCF MODEL SHALL INCLUDE ALL COSTS NECESSARY TO GENERATE AND DELIVER ELECTRICITY, INCLUDING FUEL COSTS, CONSISTENT WITH THE CALCULATION OF THE NET PRESENT VALUE AND LEVELIZED COST OF ELECTRICITY OF THE REFERENCE PROJECT.**	The DCF Model should also include Fuel Costs. Fuel is a significant cost of generating electricity and is ordinarily included when calculating the lifetime cost of electricity through the LCOE.[5] If Fuel Costs are excluded, the model does not capture the full cost of generating electricity and the resulting GAT Price will likewise exclude a significant part of that cost. Fuel Costs should therefore be included in the DCF Model and the resulting GAT Price.
	8.2 Capital Structure and Cost of Capital. The DCF Model shall apply the Reference Debt:Equity Ratio, the	8.2 Capital Structure and Cost of Capital. The DCF Model shall apply the Reference Debt:Equity Ratio, the	These financial parameters directly affect the WACC and, consequently, the GAT

[5] US Energy Information Administration, Levelized cost comparisons help explain value of various electric generation technologies, 2015, https://www.eia.gov/todayinenergy/detail.php?id=21492

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	Reference Cost of Debt for the local and foreign tranches, the Reference Debt Repayment Period, and the Reference Equity Required Rate of Return prescribed in Annex "A," blended in accordance with the Local:Foreign Capital Ratio under Annex "A," to derive the Weighted Average Cost of Capital (WACC) used to discount the reference project's cash flows.	Reference Cost of Debt for the local and foreign tranches, the Reference Debt Repayment Period, and the Reference Equity Required Rate of Return prescribed in Annex "A," blended in accordance with the Local:Foreign Capital Ratio under Annex "A," to derive the Weighted Average Cost of Capital (WACC) used to discount the reference project's cash flows. **THE COMMISSION SHALL DISCLOSE AND SUBSTANTIATE THE METHODOLOGY, DATA SOURCES, BENCHMARKS AND ASSUMPTIONS USED IN DETERMINING EACH OF THE FOREGOING PARAMETERS.**	Price ultimately borne by consumers. Publishing the basis for each parameter, including the relevant data, benchmarks, and assumptions considered in its determination, would provide greater transparency on the resulting GAT Price and support the ERC in ensuring that the return allowed under the Program remains reasonable and reflective of prevailing financing conditions..
	8.3 Annual Cash-Flow Projection. For each year of the Reference Operating Period, the DCF Model shall project Revenue as the GAT Price multiplied by the reference project's expected generation at the Reference Net Capacity Factor and Operating Expenditure as the sum of the Fixed O&M Costs, the Variable Non-Fuel O&M Costs, and the G&A Costs prescribed in Annex "A" together with the Capped Landed Logistics Cost component under Section 8.6.	8.3 Annual Cash-Flow Projection. For each year of the Reference Operating Period, the DCF Model shall project Revenue as the GAT Price multiplied by the reference project's expected generation at the Reference Net Capacity Factor and Operating Expenditure as the sum of the Fixed O&M Costs, the Variable Non-Fuel O&M Costs, **FUEL COSTS, INCLUDING REASONABLE COSTS ASSOCIATED WITH FUEL PRICE HEDGING**, and the G&A Costs prescribed in Annex "A" together with the Capped Landed Logistics Cost component under Section 8.6.	Fuel and hedging costs are material operating costs of a gas-fired facility and should therefore be included in the Reference Project's annual cash-flow projection. Their inclusion ensures that the DCF Model reflects the full cost of generating electricity and that bidders compete on their ability to procure and manage fuel costs, rather than transferring these costs entirely to consumers through the Fuel Cost Pass-Through.
	8.4 Discount at WACC and Solution for the GAT Price. The DCF Model shall apply straight-line depreciation over the Reference Operating Period and the Applicable Income Tax Rate under Annex "A" to compute the after-tax equity cash flow for each year, and shall solve, by iteration, for the levelized GAT Price at which the net present value of the reference project's equity cash flows, discounted at the WACC established under Section 8.2, equals zero.	8.4 Discount at WACC and Solution for the GAT Price. The DCF Model shall apply straight-line depreciation over the Reference Operating Period and the Applicable Income Tax Rate under Annex "A" to compute the after-tax equity cash flow for each year, and shall solve, by iteration, for the levelized GAT Price at which the net present value of the reference project's equity cash flows, ~~discounted at the WACC established under Section 8.2, equals zero.~~ **INCLUDING FUEL COSTS AND REASONABLE COSTS ASSOCIATED WITH FUEL PRICE HEDGING AS OPERATING**	Clarifies that the ERC's determination of the GAT Price should account for the Reference Project's full cash flows, including fuel and reasonable hedging costs, and should result in the equity return prescribed by the ERC. This enables the ERC to determine the auction ceiling on the basis of the full economics of the Reference Project and reduces the risk that costs or returns not reflected in the GAT Price are subsequently

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		COSTS UNDER SECTION 8.3, DISCOUNTED AT THE WACC ESTABLISHED UNDER SECTION 8.2, EQUALS ZERO. FOR THE AVOIDANCE OF DOUBT, THIS IS EQUIVALENT TO, AND SHALL BE UNDERSTOOD AS, CALIBRATING THE GAT PRICE TO DELIVER AN EQUITY INTERNAL RATE OF RETURN TO THE REFERENCE PROJECT EXACTLY EQUAL TO THE REQUIRED EQUITY RETURN (RE) PRESCRIBED UNDER ANNEX "A" **8.4.1 SOLE SOURCE OF RETURN; NO ADDITIONAL MARGIN. THE GAT PRICE, AS SOLVED UNDER SECTION 8.4, CONSTITUTES THE SOLE AND EXCLUSIVE MECHANISM BY WHICH A WINNING BIDDER EARNS A RETURN ON AND OF CAPITAL UNDER THE MID-MERIT NATURAL GAS CAPACITY AUCTION PROGRAM. FOR THE AVOIDANCE OF DOUBT:** **(A) THE FUEL COST PASS-THROUGH MECHANISM UNDER RULE 4 OF THESE RULES IS STRICTLY A COST-RECOVERY MECHANISM AND SHALL NOT BE CONSTRUED TO PROVIDE ANY PROFIT, MARGIN, OR RETURN COMPONENT TO THE WINNING BIDDER, EXCEPT FOR THE BOUNDED EFFICIENCY-SHARING INCENTIVE EXPRESSLY PROVIDED UNDER SECTION 21, WHICH ARISES ONLY WHERE ACTUAL PROCUREMENT COSTS FALL BELOW THE GAS PRICE BENCHMARK AND THE MAJORITY SHARE OF THE RESULTING SAVINGS IS PASSED THROUGH TO CONSUMERS;** **(B) NO PROVISION OF THESE RULES, THE SETTLEMENT MECHANISM, OR ANY POWER SUPPLY AGREEMENT OR PRO-FORMA AUCTION AGREEMENT EXECUTED PURSUANT TO THESE**	recovered from consumers. Provides the ERC with an express safeguard against returns being recovered through multiple components of the Program. By establishing that the return incorporated into the GAT Price is the sole return available to the Winning Bidder, the ERC can ensure that the FCPT operates strictly as a cost-recovery mechanism and protect consumers from paying returns beyond those already contemplated in the GAT Price.

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		RULES SHALL BE CONSTRUED TO ENTITLE A WINNING BIDDER TO A RETURN ON EQUITY, CAPACITY PAYMENT, OR SIMILAR COMPENSATION IN EXCESS OF THE EQUITY IRR DETERMINED UNDER SECTION 8.4; AND **(C) ANY INDEXATION, ADJUSTMENT, OR TRUE-UP PERMITTED UNDER SECTIONS 8.5, 8.6, OR 11 OF THESE RULES SHALL BE APPLIED SOLELY TO PRESERVE, AND SHALL NOT BE APPLIED SO AS TO ENHANCE, THE EQUITY IRR DETERMINED UNDER SECTION 8.4.**	
	8.5 PHP-Denominated Settlement. Notwithstanding the currency composition of the reference project's debt and capital structure used solely for purposes of computing the GAT Price under this Section, the resulting GAT Price, and the Gas Auction Price (GAP) endorsed to a Winning Bidder in the Auction Proper, shall be fixed and expressed exclusively in Philippine Pesos (PhP/kWh) and shall not be subject to further foreign-exchange indexation, escalation, or pass-through to consumers during the term of the Certificate of Award.	8.5 PHP-Denominated Settlement. Notwithstanding the currency composition of the reference project's debt and capital structure used solely for purposes of computing the GAT Price under this Section, the resulting GAT Price, and the Gas Auction Price (GAP) endorsed to a Winning Bidder in the Auction Proper, shall be fixed and expressed exclusively in Philippine Pesos (PhP/kWh) and shall not be subject to further foreign-exchange indexation, escalation, or pass-through to consumers during the term of the Certificate of Award.	
	8.6 Capped Landed Logistics Cost Component. The GAT Price computation under this Section shall include, as an Operating Expenditure item, a Capped Landed Logistics Cost component representing the levelized annual equivalent of the Allowable Add-On Costs enumerated in Section 17 of these Rules - namely, regasification/terminal fees, pipeline transportation fees, and the boil-off gas (BOG) loss allowance - each individually subject to the maximum caps prescribed in Section 17 and Annex "A". By embedding this capped logistics cost within the GAT Price ceiling rather than	8.6 Capped Landed Logistics Cost Component. The GAT Price computation under this Section shall include, as an Operating Expenditure item, a Capped Landed Logistics Cost component representing the levelized annual equivalent of the Allowable Add-On Costs enumerated in Section 17 of these Rules - namely, regasification/terminal fees, **AND** pipeline transportation fees, ~~and the boil-off gas (BOG) loss allowance -~~ **THE COMPUTATION OF WHICH SHALL BE CLEARLY DISCLOSED AND SHALL NOT RESULT IN THE FRONTLOADING OR RECOVERY**	This amendment strengthens consumer protection by establishing clear limits on the fuel logistics costs recoverable under the Program. Boil-off gas losses are appropriately treated as part of the Winning Bidder's fuel procurement and management responsibilities, rather than as a separate cost recoverable from consumers. Regasification and pipeline transportation fees should likewise reflect only the reasonable cost of the relevant

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	passing it through separately under Rule 4, the Winning Bidder, and not the electricity consumer, bears the risk of gas-delivery-infrastructure underutilization, cost overruns above the prescribed caps, and logistics-related rate volatility. The Reference Gas Price commodity component determined under Sections 14 to 16 of these Rules remains excluded from the GAT Price and is recovered exclusively through the Fuel Cost Pass-Through mechanism under Rule 4, as amended. $GATP = CRF + OM + CLLC$ For the initial CCGT Auction Round, applying the Reference Parameters prescribed in Annex "A" (Items A1. to A.18 above) to the DCF Model described in this Section, the Commission shall establish a Reference Gas Auction Threshold Price (GATP) to be determined by the Commission, pursuant to Section 18.2.1 of the Gas Auction Circular. This figure, also set out at Annex A"" Item A.19, shall be re-solved for each subsequent Auction Round as the Commission updates the Reference Parameters.	**OF THE CAPITAL COSTS OF THE UNDERLYING TERMINAL OR PIPELINE INFRASTRUCTURE FROM ELECTRICITY CONSUMERS,** each individually subject to the maximum caps prescribed in Section 17 and Annex "A". By embedding this capped logistics cost within the GAT Price ceiling rather than passing it through separately under Rule 4, the Winning Bidder, and not the electricity consumer, bears the risk of gas-delivery-infrastructure underutilization, cost overruns above the prescribed caps, and logistics-related rate volatility. ~~The Reference Gas Price commodity component determined under Sections 14 to 16 of these Rules remains excluded from the GAT Price and is recovered exclusively through the Fuel Cost Pass-Through mechanism under Rule 4, as amended~~ **THE REFERENCE FUEL COST ASSUMPTION DETERMINED IN ACCORDANCE WITH SECTIONS 14 TO 18 SHALL BE INCORPORATED INTO THE GAT PRICE, WITH ONLY ALLOWABLE ADDITIONAL FUEL COSTS RECOVERABLE THROUGH THE FCPT IN ACCORDANCE WITH RULE 4**. $GATP = CRF + OM + CLLC$ For the initial CCGT Auction Round, applying the Reference Parameters prescribed in Annex "A" (Items A1. to A.18 above) to the DCF Model described in this Section, the Commission shall establish a Reference Gas Auction Threshold Price (GATP) to be determined by the Commission, pursuant to Section 18.2.1 of the Gas Auction Circular. This figure, also set out at Annex A"" Item A.19, shall be re-solved for each subsequent Auction Round as the Commission updates the Reference Parameters.	services, with transparent calculation methodologies and appropriate safeguards to ensure that electricity consumers do not bear capital costs associated with LNG terminal or pipeline infrastructure that may be separately owned, regulated, or used to provide services to other projects or customers. Aligns the GAT Price computation with the proposed inclusion of Fuel Costs in the bid and ensures that the FCPT is limited to allowable additional Fuel Costs, preventing consumers from paying twice for the same Fuel Cost.

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	8.7 Key Parameters of the DCF Model. The Commission shall determine and fix, for each Facility Type and each Auction Round, the specific parameter values to be used in the DCF Model. The key parameters are set forth below. Default ranges and reference values shall be prescribed as provided in the Annex to these Rules, as updated by the Commission prior to each Auction Round.	8.7 Key Parameters of the DCF Model. The Commission shall determine and fix, for each Facility Type and each Auction Round, the specific parameter values to be used in the DCF Model. The key parameters are set forth below. Default ranges and reference values shall be prescribed as provided in the Annex to these Rules, as updated by the Commission prior to each Auction Round. **THE COMMISSION SHALL DISCLOSE AND SUBSTANTIATE ANY PARAMETER VALUES ADOPTED OR UPDATED, INCLUDING THE METHODOLOGY, DATA SOURCES, AND ASSUMPTIONS USED IN THEIR DETERMINATION.** **8.8 OPERATING PERIOD (YEARS). PROJECTED COMMERCIAL OPERATING LIFE OF THE REFERENCE PLANT. THE COMMISSION SHALL APPLY THE FULL ECONOMIC USEFUL LIFE OF THE FACILITY AS THE OPERATING PERIOD, WHICH SHALL BE NOT LESS THAN TWENTY-FIVE (25) YEARS, TO BE DETERMINED BY THE COMMISSION AND DIFFERENTIATED BY FACILITY TYPE, FOR PURPOSES OF COMPUTING THE LEVELIZED CAPITAL RECOVERY COMPONENT OF THE GAT PRICE UNDER SECTION 8.4. PARTIES MAY NOT PROPOSE A SHORTER OPERATING PERIOD TO OBTAIN A HIGHER EFFECTIVE ANNUAL RECOVERY WITHOUT COMMISSION APPROVAL.** **THE OPERATING PERIOD FOR PURPOSES OF THIS SECTION IS DISTINCT FROM, AND SHALL NOT BE CONSTRUED TO EXTEND, THE SETTLEMENT GUARANTEE PERIOD PRESCRIBED UNDER SECTION 30-A. THE SETTLEMENT GUARANTEE PERIOD SHALL BE LIMITED TO THE**	Enables the ERC to determine the GAT Price using the full economic useful life of the facility, thereby preventing an artificially shortened Operating Period from increasing the annual capital recovery incorporated into the auction ceiling. Distinguishing the Operating Period used for capital recovery from the Settlement Guarantee Period also allows the ERC to protect consumers from unnecessarily high annual payments. Strengthens the ERC's basis for determining the reference-project parameters that ultimately establish the GAT Price ceiling. Independent technical and financial review, together with public disclosure of the results, provides the ERC with an additional safeguard against unsupported or upward-biased assumptions and helps ensure that consumers do not bear costs arising from overstated reference-project parameters. Clarifies that the operating period used to calculate the GAT Price is distinct from the period during which consumers are required to support the facility. While the reference plant may have an operating life of at least 25 years, the Settlement

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			DURATION OF THE CONTRACT UNDER THE PROGRAM, WHICH SHALL IN NO CASE EXCEED FIFTEEN (15) YEARS. **THE COMMISSION MAY UNDERTAKE ON ITS OWN OR AUTHORIZE AN INDEPENDENT TECHNICAL AND FINANCIAL REVIEW OF THE REFERENCE PARAMETERS UNDER THIS SECTION AT LEAST ONCE EVERY TWO (2) AUCTION ROUNDS, TO BE CONDUCTED, WHERE APPLICABLE, BY A QUALIFIED THIRD-PARTY ADVISOR WITH NO COMMERCIAL INTEREST IN ANY PROSPECTIVE BIDDER, AND SHALL MAKE THE REVIEW PUBLICLY AVAILABLE AND SUBJECT TO PUBLIC COMMENT AND PUBLIC CONSULTATION PRIOR TO FINALIZING THE REFERENCE PARAMETERS FOR THE RELEVANT AUCTION ROUND.;**	Guarantee Period should reflect demonstrated system need and should not exceed 15 years, limiting consumers' exposure to stranded asset risk.[6] Ensures that the reference-project assumptions used to determine the GAT Price remain accurate and transparent through periodic independent review. This reduces the risk that outdated or unsupported assumptions result in an unnecessarily high GAT Price being borne by consumers.
	Parameter	**Description**		
	Installed Capacity (MW)	Nameplate gross capacity of the reference plant; determined by the Commission based on the capacity lot prescribed in the Terms of Reference and standard unit sizes for the Facility Type.		
	Net Capacity Factor (CF)	ratio of actual annual energy generation to maximum annual energy generation at nameplate capacity; reflects the expected		

[6] **Financeability risk.** Lenders underwriting a 25-year amortization schedule on the strength of only a 10–15 year guaranteed revenue stream will price in the re-test risk, probably as a higher WACC in the Section 8 DCF, which pushes GAT Price back up somewhat. The price-cap win from 8.7 and the lock-in win from 30-A partially offset each other. It's the market correctly pricing the optionality we are creating, but it means "25 years low price" and "10-15 year guarantee" aren't fully free to combine; there's a real trade-off in how aggressive you set both number

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		mid- merit dispatch profile. Reference range to be determined by the Commission, differentiated by Facility Type. To be specified per Auction Round by the Commission.		
	All-In Project Cost (Php/KW)	Total capital cost per kilowatt of Installed Capacity, including EPC, interconnection, land, pre-development, environmental compliance, financing fees, owner's Derived costs, and contingency from international engineering studies, domestic project benchmarks, and DOE/ERC resource assessments. Expressed in PhP at the applicable peso-dollar exchange rate benchmark.		
	Fixed O&M Costs (Php/kW-year)	Annual fixed costs of operating and maintaining the facility regardless of output level, including labor, scheduled maintenance, consumables, insurance, and fixed service contracts.		
	Fuel Cost Assumption	Baseline for the the cost of fuel used by the Winning Bidder to generate the contracted capacity[7]		

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	Variable Non-Fuel O&M Costs (Php/kWh)	Variable operating costs per kWh of energy generated, excluding natural gas fuel costs. Includes lubricants, water, chemicals, and non-fuel consumables.		
	General and Administrative (G&A) costs	Annual overhead costs for project management, regulatory compliance, accounting, legal, and corporate governance, expressed as a percentage of 0&M costs or as a fixed PhP/kW-year amount.		
	Construction Period (Years)	expected duration from financial close to commercial operations date (COD). Reference period to be determined by the Commission, differentiated by Facility Type.		
	Operating Period (Years)	Projected commercial operating life of the reference plant. The Commission shall apply the full economic useful life of the facility as the Operating Period, to be determined by the Commission and differentiated by Facility Type. Parties may not propose a shorter Operating Period to obtain a higher effective annual recovery without Commission approval.	Projected commercial operating life of the reference plant. The Commission shall apply the full economic useful life of the facility as the Operating Period, ~~to be determined by the Commission and differentiated by Facility Type. Parties may not propose a shorter Operating Period to obtain a higher effective annual recovery without Commission approval~~ **WHICH SHALL BE NOT LESS THAN TWENTY-FIVE (25) YEARS, TO BE DETERMINED BY THE COMMISSION AND DIFFERENTIATED BY FACILITY TYPE, FOR PURPOSES OF COMPUTING THE LEVELIZED CAPITAL RECOVERY COMPONENT OF THE GAT PRICE UNDER SECTION 8.4. PARTIES MAY NOT PROPOSE A SHORTER OPERATING PERIOD TO OBTAIN A HIGHER EFFECTIVE ANNUAL RECOVERY WITHOUT COMMISSION APPROVAL.**	Clarifies that the Operating Period is used only to calculate the levelized capital recovery component of the GAT Price and does not determine how long consumers are required to support the facility. While the Reference Project may be modelled over an operating life of at least 25 years, the Settlement Guarantee Period should reflect demonstrated system need and should not exceed 15 years, thereby limiting consumer exposure to stranded asset risk.

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			THE OPERATING PERIOD FOR PURPOSES OF THIS SECTION IS DISTINCT FROM, AND SHALL NOT BE CONSTRUED TO EXTEND, THE SETTLEMENT GUARANTEE PERIOD PRESCRIBED UNDER SECTION 30-A. THE SETTLEMENT GUARANTEE PERIOD SHALL BE LIMITED TO THE DURATION OF THE CONTRACT GRANTED UNDER THIS PROGRAM AND SHALL IN NO CASE EXCEED FIFTEEN (15) YEARS. THE SETTLEMENT GUARANTEE SHALL APPLY ONLY TO ELECTRICITY ACTUALLY GENERATED AND DELIVERED IN ACCORDANCE WITH THE PROGRAM AND SHALL NOT CONSTITUTE AN ASSURED OR MINIMUM OFFTAKE OBLIGATION OR TAKE-OR-PAY ARRANGEMENT.	
	Debt: Equity Ratio	Proportion of project financing sourced from debt versus equity. Reference ratio to be determined by the Commission, or as justified by prevailing market financing conditions.		
	Local:Foreign Capital Ratio	Proportion of capital (both debt and equity) sourced from domestic Philippine lenders/investors versus offshore sources. Affects applicable interest rate and currency risk assumptions.		
	Cost of Debt (Rd)	Weighted average interest rate on long-term project finance debt, blended across local and foreign tranches.		

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	Debt Repayment Period (years)	Term over which project debt is amortized, not to exceed the Operating Period.		
	Required Equity Return (Re)	Minimum acceptable return on equity for a project of the applicable Facility Type and risk profile in the Philippines; reflects country risk premium, sector risk, and prevailing market conditions. Used as the discount rate for equity NPV.		The section proposes two options for Required Equity Return. The first fixes it at 7.5% per annum while the second option allows for a more flexible treatment of the required rate of return while still requiring an objective benchmark to protect consumers from unreasonable rates.
			OPTION 1: ~~Minimum acceptable return on equity for a project of the applicable Facility Type and risk profile in the Philippines; reflects country risk premium, sector risk, and prevailing market conditions. Used as the discount rate for equity NPV.~~ **RE SHALL BE 7.5% PER ANNUM FOR ALL AUCTIONS UNDER THIS METHODOLOGY.**	**OPTION 1 RATIONALE:** Locks in a fixed cost of capital regardless of market interest rate movements. If market rates rise above 7.5%, generators absorb the difference, and cannot pass through. If rates fall below 7.5%, consumers benefit from the savings but generator gets full 7.5% anyway. Removes ability to adjust for risk premium changes. Reduces revenue variability but also removes upside if financing costs drop.
			OPTION 2: Minimum acceptable return on equity for a project of the applicable Facility Type and risk profile in the Philippines; reflects country risk premium, sector risk, and prevailing market conditions. Used as the discount rate for equity NPV. **THE COMMISSION SHALL DETERMINE THE REQUIRED EQUITY RETURN USING OBJECTIVE AND VERIFIABLE MARKET BENCHMARKS AND SHALL DISCLOSE THE**	**OPTION 2 RATIONALE:** The Required Equity Return directly affects the GAT Price and, consequently, the costs ultimately borne by consumers. Supporting the Required Equity Return with relevant and objective market benchmarks would provide a transparent basis for determining an appropriate return under the Program. The

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			METHODOLOGY, DATA SOURCES, COMPARATORS AND ASSUMPTIONS USED. THE DETERMINATION SHALL ACCOUNT FOR THE REDUCED RISK PROFILE ARISING FROM THE REVENUE CERTAINTY AND OTHER SUPPORT PROVIDED UNDER THE GAS AUCTION PROGRAM.	determination may also take into account the investment risk profile of participating projects, including the degree of revenue certainty provided by the Settlement Mechanism, so that the allowed return appropriately reflects the risks borne by Winning Bidders while protecting consumers from excessive costs.
	Income Tax Rate	Applicable corporate income tax rate under the Tax Code, as amended, to be determined by the Commission consistent with prevailing law for domestic corporations under the Corporate Income Tax and Incentives Rationalization Act (CITIRA)/CREATE Act. Any income tax holidays or incentives applicable to the project under applicable law (e.g., Republic Act No. 11534 CREATE Act fiscal incentives, PNGIDA incentives) shall be reflected in the model and shall be based on the maximum permissible incentive period.		
	Local Business Tax (LBT)	Annual local business tax imposed by the local government unit(s) where the project is located.		
	Real Property Tax (RPT)	Annual real property tax on improvements and machinery applicable to the facility, per the Local Government Code.		

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	Interconnection/ Transmission	Cost of transmission interconnection line from the plant to the nearest substation or grid connection point, amortized over the Operating Period.	Cost of transmission interconnection line from the plant to the nearest substation or grid connection point, amortized over the Operating Period. **THE COMMISSION SHALL DETERMINE THE REFERENCE COST USING OBJECTIVE AND VERIFIABLE BENCHMARKS AND SHALL ACCOUNT FOR MATERIAL DIFFERENCES ATTRIBUTABLE TO PROJECT LOCATION AND DISTANCE FROM THE GRID CONNECTION POINT. WHERE A SINGLE REFERENCE COST IS REQUIRED, THE COMMISSION SHALL ADOPT THE LOWEST REASONABLE BENCHMARK SUPPORTED BY AVAILABLE DATA.**	Interconnection costs may vary significantly depending on the location of a facility and its distance from the nearest grid connection point. A single reference assumption may therefore affect projects differently depending on their individual interconnection requirements. Where a common reference figure is adopted, supporting the assumption with objective benchmarks and representative cost data would provide the ERC with a consistent basis for determining an appropriate interconnection cost allowance, while helping ensure that consumers bear only reasonable costs attributable to connecting the generation facility to the grid.
	The reference values in the foregoing table are indicative defaults only and shall not be binding until confirmed, adjusted, or superseded by the specific parameter values prescribed by the Commission under Annex"A" for the applicable Facility Type and Auction Round. Applying these Key Parameters, as further detailed in Annex "A," for the initial CCGT Auction Round yields a Reference Gas Auction Threshold Price (GATP) to be determined by the Commission, established pursuant to Section 18.2.1 of the Gas Auction Circular and set out at Annex "A" Item A.19.			
9	**Section 9. Gas Source Type and Fuel Cost Exclusion.** The DCF Model for GAT Price determination shall expressly exclude natural gas fuel costs from the revenue and cost projections. The		**Section 9. Gas Source Type and Fuel ~~Cost Exclusion~~ COSTS**. The DCF Model for GAT Price determination shall ~~expressly exclude natural gas fuel costs from the revenue and cost projections. The~~	Ensures that Fuel Costs are included not only in the GAT Price but also in the Price Offers used to evaluate and determine the Winning Bid. This allows bids to be

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	Commission shall not impute a fuel cost assumption in the model. The GAT Price represents a non-fuel generation cost ceiling only. For the avoidance of doubt, Prospective Bidders shall not include fuel procurement costs in their Price Offers. Fuel costs are to be recovered separately through the Fuel Cost Pass-Through mechanism under Rule 4 of these Rules, subject to the Gas Price Benchmark ceiling.	~~Commission shall not impute a fuel cost assumption in the model. The GAT Price represents a non-fuel generation cost ceiling only.~~ **EXPRESSLY INCLUDE NATURAL GAS FUEL COSTS IN THE REVENUE AND COST PROJECTIONS. THE GAT PRICE SHALL REPRESENT THE FULL GENERATION COST CEILING, INCLUDING FUEL COSTS.** For the avoidance of doubt, Prospective Bidders shall ~~not~~ include fuel procurement costs in their Price Offers**, AND THE FUEL-INCLUSIVE PRICE OFFER SHALL BE USED IN THE EVALUATION AND DETERMINATION OF THE WINNING BID, SUBJECT TO THE APPLICABLE PRIORITIZATION AND RANKING MECHANISM UNDER THE GAS AUCTION CIRCULAR**. ~~Fuel costs are to be recovered separately through the Fuel Cost Pass-Through mechanism under Rule 4 of these Rules, subject to the Gas Price Benchmark ceiling.~~ **ONLY ALLOWABLE FUEL COSTS IN EXCESS OF THE FUEL COST ALREADY INCLUDED IN THE GAS AUCTION PRICE MAY BE RECOVERED THROUGH THE FUEL COST PASS-THROUGH MECHANISM UNDER RULE 4, SUBJECT TO THE APPLICABLE LIMITS PRESCRIBED UNDER THESE RULES.**	assessed on a fuel-inclusive basis and ensures that the determination of the Winning Bid reflects the generation costs expected to be borne by consumers, while preserving the applicable prioritization and ranking mechanism under the Gas Auction Circular.
10	**Section 10. Treatment of Projects Using Indigenous Gas, Imported LNG, or Blended Gas.** The GAT Price for a given Facility Type shall be the same regardless of the gas source type (Indigenous, Imported LNG, or Blended) proposed by the Bidder, as the fuel cost component is entirely excluded from the GAT Price computation. Differences in fuel supply economics between Bidders are accounted for in the separate Fuel Cost Pass - Through mechanism and the Gas Price	**Section 10. Treatment of Projects Using Indigenous Gas, Imported LNG, or Blended Gas**. The GAT Price for a given Facility Type shall be the same regardless of the gas source type (Indigenous, Imported LNG, or Blended) proposed by the Bidder, ~~as the fuel cost component is entirely excluded from the GAT Price computation. Differences in fuel supply economics between Bidders are accounted for in the separate Fuel Cost Pass-Through mechanism and the Gas Price~~	Ensures consistency with the proposed inclusion of Fuel Costs in the GAT Price and Price Offers. Differences in the cost of Indigenous Gas, Imported LNG or Blended Gas should form part of the competitive bids, requiring bidders to compete on their ability to procure and manage fuel at least cost rather than passing these differences entirely to

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	Benchmark.	~~Benchmark.~~ **PROVIDED THAT FUEL COSTS SHALL BE INCLUDED IN THE GAT PRICE AND BIDDERS' PRICE OFFERS IN ACCORDANCE WITH SECTION 9. DIFFERENCES IN FUEL SUPPLY ECONOMICS SHALL THEREFORE FORM PART OF THE COMPETITIVE PRICE OFFERED BY EACH BIDDER, WITH ONLY ALLOWABLE ADDITIONAL FUEL COSTS RECOVERABLE THROUGH THE FUEL COST PASS-THROUGH MECHANISM UNDER RULE 4.**	consumers.
	However, where the type of gas supply infrastructure (e.g., FSRU- based LNG versus pipeline-based Indigenous gas) materially affects capital costs or auxiliary power requirements attributable to non-fuel project costs, the Commission may consider separate GAT Price determinations for technology sub-categories as warranted. Such differentiation shall already be reflected in the DOE's Terms of Reference (TOR) for the Auction Round, so as to avoid confusion in the ranking of Price Offers from lowest to highest Bidder.	However, where the type of gas supply infrastructure (e.g., FSRU-based LNG versus pipeline-based Indigenous gas) materially affects capital costs or auxiliary power requirements attributable to non-fuel project costs, the Commission may consider separate GAT Price determinations for technology sub-categories as warranted. ~~Such differentiation shall already be reflected in the DOE's Terms of Reference (TOR) for the Auction Round, so as to avoid confusion in the ranking of Price Offers from lowest to highest Bidder.~~ **WHERE SUCH DIFFERENTIATION IS NECESSARY FOR PURPOSES OF DETERMINING THE GAT PRICE, THE COMMISSION SHALL DISCLOSE AND JUSTIFY THE BASIS FOR THE DIFFERENTIATION, INCLUDING ITS IMPACT ON THE COMPARABILITY AND RANKING OF PRICE OFFERS.**	Ensures that any differentiation in the GAT Price arising from differences in gas supply infrastructure is transparent and justified by the ERC. The amendment also keeps the requirement within the ERC's authority by focusing on its determination of the GAT Price, rather than prescribing what the DOE must include in its TOR.
11	**Section 11. Update of GAT Price for Subsequent Auction Rounds; Indexation.** The GAT Price issued for any Auction Round shall be expressed in Philippine Pesos at a reference date specified by the Commission. In subsequent Auction Rounds, the Commission shall update the GAT Price to reflect:		

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	11.1. Changes in the Philippine Consumer Price Index (CPI) for capital goods and services; 11.2 Movements in the Philippine Peso to United States Dollar exchange rate (PhP/USD) for imported equipment and offshore financing cost components; 11.3 Updates to cost benchmarks based on recently concluded project financings DOE project assessments, and international reference studies; and	11.3 Updates to cost benchmarks based on recently concluded project financings, DOE project assessments, and international reference studies, **USING OBJECTIVE AND VERIFIABLE DATA AND BENCHMARKS**;	Ensures that updates to the GAT Price between Auction Rounds are based on objective and verifiable market data rather than regulatory discretion. This helps ensure that changes in the reference costs are transparent, justified, and do not unnecessarily increase the GAT Price ultimately borne by consumers.
	11.4 Any changes in the regulatory, tax, or incentive framework applicable to natural gas power projects. The Commission shall publish the updated parameters and GAT Price together with the basis for any changes made relative to the prior Auction Round.	11.4 Any changes in the regulatory, tax, or incentive framework applicable to natural gas power projects. The Commission shall publish the updated parameters and GAT Price together with the basis for any changes made relative to the prior Auction Round.	
	11.5 Indexation Between Certificate of Award and Commercial Operations Date. The GAT Price and the corresponding endorsed Gas Auction Price (GAP) of a Winning Bidder shall be subject to a one-time indexation adjustment between the date of the Certificate of Award and the Commercial Operations Date (COD) of the project, consistent with the Commission's practice under the Department of Energy's Green Energy Auction Program (GEAP). The indexation adjustment shall account for verified movements in the cost benchmarks and parameters used in the DCF Model under Section 8 between these two dates, shall be applied only once upon the Winning	11.5 Indexation Between Certificate of Award and Commercial Operations Date. The GAT Price and the corresponding endorsed Gas Auction Price (GAP) of a Winning Bidder shall be subject to a one-time indexation adjustment between the date of the Certificate of Award and the Commercial Operations Date (COD) of the project, consistent with the Commission's practice under the Department of Energy's Green Energy Auction Program (GEAP). The indexation adjustment shall account for verified movements in the cost benchmarks and parameters used in the DCF Model under Section 8 between these two dates, shall be applied only once upon the Winning	Ensures that the one-time indexation reflects only verified changes in costs between the award and commercial operation and does not provide the Winning Bidder with an additional return. Any adjustment should preserve, rather than increase, the equity return already incorporated into the GAT Price, thereby protecting consumers from paying more than the return contemplated by the ERC.

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	Bidder's declaration of COD, and shall be subject to Commission verification. No further indexation shall be applied to the GAT Price or GAP for the remainder of the term of the Certificate of Award.	Bidder's declaration of COD, and shall be subject to Commission verification. No further indexation shall be applied to the GAT Price or GAP for the remainder of the term of the Certificate of Award~~.~~**; PROVIDED, THAT ANY INDEXATION UNDER THIS SECTION SHALL BE LIMITED TO VERIFIED COST MOVEMENTS AND SHALL NOT RESULT IN AN INCREASE IN THE EQUITY RETURN BEYOND THE REQUIRED EQUITY RETURN PRESCRIBED UNDER ANNEX "A".**	
	Gas Price Benchmark Methodology		
12	**Section 12. Purpose and Scope.** The Gas Price Benchmark establishes the maximum reference price at which natural gas fuel procurement costs incurred by Winning Bidders may be passed through to electricity consumers via the Fuel Cost Pass-Through (FCPT) mechanism. It prevents the transfer of imprudent, non-competitive, or unjustified fuel procurement costs to end- users, while providing Winning Bidders with reasonable assurance of fuel cost recovery for prudently procured natural gas. The Gas Price Benchmark shall apply to all Winning	**Section 12. Purpose and Scope**. The Gas Price Benchmark establishes the maximum reference price ~~at which natural gas fuel procurement costs incurred by Winning Bidders may be passed through to electricity consumers via the Fuel Cost Pass-Through (FCPT) mechanism.~~ **ESTABLISHES THE REFERENCE PRICE AGAINST WHICH ACTUAL FUEL COSTS INCURRED BY WINNING BIDDERS SHALL BE ASSESSED FOR PURPOSES OF DETERMINING ALLOWABLE ADDITIONAL FUEL COST RECOVERY THROUGH THE FCPT AND FUEL PROCUREMENT SAVINGS UNDER SECTION 21.**. It prevents the transfer of imprudent, non-competitive, or unjustified fuel procurement costs to end-users, while providing Winning Bidders with reasonable assurance of ~~fuel cost recovery for prudently procured natural gas~~ **RECOVERY OF ALLOWABLE ADDITIONAL FUEL COSTS IN ACCORDANCE WITH THESE RULES.** The Gas Price Benchmark shall apply to all Winning	Reframes the Gas Price Benchmark to reflect its role under the revised Fuel Cost mechanism. This allows the ERC to use the Benchmark both to limit additional Fuel Costs recoverable from consumers and to identify procurement savings that should be shared with consumers.

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	Bidders claiming Fuel Cost Pass-Through under Section 17 of these Rules, regardless of gas source type.	Bidders claiming Fuel Cost Pass-Through under Section 17 of these Rules, regardless of gas source type.	
13	**Section 13. Components of the Gas Price Benchmark.** The Gas Price Benchmark for each Winning Bidder shall consist of: 13.1 Reference Gas Price (RGP) - The prevailing market price for natural gas from the applicable source type, expressed in United States Dollars per million British thermal units (USD/MMBtu), determined pursuant to Sections 14 to 16 of these Rules; 13.2 Allowable Add-On Costs - Prudent and reasonable costs of conveying the natural gas from the point of commercial delivery or title transfer to the entry point of the Winning Bidder's power plant fuel supply system, expressed in USD/MMBtu or PhP/MMBtu and subject to the caps prescribed in Section 17 of these Rules; WHICH MAY INCLUDE BUT ARE NOT LIMITED TO THE FOLLOWING:	13.2 Allowable Add-On Costs - Prudent and reasonable costs of conveying the natural gas from the point of commercial delivery or title transfer to the entry point of the Winning Bidder's power plant fuel supply system, expressed in USD/MMBtu or PhP/MMBtu and subject to the caps prescribed in Section 17 of these Rules; ~~WHICH MAY INCLUDE BUT ARE NOT LIMITED TO THE FOLLOWING~~ **WHICH SHALL BE LIMITED EXCLUSIVELY TO THE FOLLOWING:** **13.2.1 PORT/TERMINAL FEES – TARIFFS OR SERVICE CHARGES INCURRED FOR THE USE OF PORT OR TERMINAL FACILITIES OR EQUIPMENT NECESSARY TO RECEIVE AND DELIVER NATURAL GAS TO THE WINNING BIDDER;** **13.2.2 PIPELINE TARIFFS – TARIFFS OR SERVICE CHARGES INCURRED FOR THE TRANSPORTATION OF NATURAL GAS THROUGH REGULATED PIPELINES TO THE WINNING BIDDER'S POWER PLANT FUEL SUPPLY SYSTEM;**	This amendment provides an exclusive enumeration of the costs that may qualify as Allowable Add-On Costs, providing greater certainty as to the fuel logistics costs that may be recovered under the Program. It distinguishes reasonable tariffs and service charges incurred in transporting, storing, and measuring natural gas from the capital and development costs of the underlying fuel supply infrastructure. This would allow the ERC to recognize reasonable costs associated with services necessary to deliver fuel to the generation facility, while ensuring that consumers do not bear infrastructure costs or other fuel supply costs that are not properly attributable to the electricity supplied under the Program.

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		13.2.3 STORAGE FEES – SERVICE CHARGES INCURRED FOR THE USE OF NATURAL GAS STORAGE FACILITIES AT OR NEAR THE POINT OF COMMERCIAL DELIVERY OR THE POWER PLANT; AND **13.2.4 CUSTODY TRANSFER AND METERING FEES – COSTS INCURRED FOR THE MEASUREMENT, METERING, AND VERIFICATION OF NATURAL GAS QUANTITIES AT THE APPLICABLE CUSTODY TRANSFER POINT.** **NO OTHER COST SHALL QUALIFY AS AN ALLOWABLE ADD-ON COST UNDER THESE RULES. FOR THE AVOIDANCE OF DOUBT, ALLOWABLE ADD-ON COSTS SHALL NOT INCLUDE CAPITAL OR DEVELOPMENT COSTS ASSOCIATED WITH LNG TERMINALS, STORAGE FACILITIES, PIPELINES, OR OTHER FUEL SUPPLY INFRASTRUCTURE, OR COSTS ASSOCIATED WITH LIQUEFACTION, SHIPPING, OR UPSTREAM EXPLORATION AND DEVELOPMENT.**	
	13.3 Currency Conversion - Conversion of the Gas Price Benchmark to Philippine Pesos per kilowatt-hour (PhP/kWh) using the applicable exchange rate and verified Heat Rate, as provided in Section 18 of these Rules. In implementing this Rule, the Commission shall be guided by the policy under Section 2(c) and Section 23 of Republic Act No. 12120 (PNGIDA) to prioritize and encourage the development and utilization of Indigenous Natural Gas, consistent with energy security and consumer welfare.	13.3 Currency Conversion - Conversion of the Gas Price Benchmark to Philippine Pesos per kilowatt-hour (PhP/kWh) using the applicable exchange rate and verified Heat Rate, as provided in Section 18 of these Rules. In implementing this Rule, the Commission shall be guided by the policy under Section 2(c) and Section 23 of Republic Act No. 12120 (PNGIDA) to prioritize and encourage the development and utilization of Indigenous Natural Gas, consistent with energy security and consumer welfare.	

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	13.4 Capped Landed Logistics Cost Allocation. For purposes of these Rules, the Allowable Add-On Costs enumerated in Section 17 (regasification/terminal fees, pipeline transportation fees, and the boil-off gas loss allowance) shall be embedded, on a levelized and capped basis, in the GAT Price pursuant to Section 8.6 of these Rules, and shall not form part of the monthly Fuel Cost Pass-Through computed under Section 18 or certified under Section 23. Accordingly, the Gas Price Benchmark for Fuel Cost Pass-Through purposes shall consist solely of the Reference Gas Price determined under Sections 14 to 16, subject to the Fuel VAT Rate under Section 18(d) and the currency conversion mechanics of Section 18.	13.4 Capped Landed Logistics Cost Allocation. For purposes of these Rules, the Allowable Add-On Costs enumerated in Section 17 (regasification/terminal fees **AND** pipeline transportation fees~~, and the boil-off gas loss allowance~~) shall be embedded, on a levelized and capped basis, in the GAT Price pursuant to Section 8.6 of these Rules, and shall not form part of the monthly Fuel Cost Pass-Through computed under Section 18 or certified under Section 23. Accordingly, the Gas Price Benchmark for Fuel Cost Pass-Through purposes shall ~~consist solely of the Reference Gas Price determined under Sections 14 to 16~~ **BE USED TO DETERMINE THE MAXIMUM ALLOWABLE ADDITIONAL FUEL COST THAT MAY BE RECOVERED ABOVE THE FUEL COST ALREADY INCLUDED IN THE GAS AUCTION PRICE**, subject to the Fuel VAT Rate under Section 18(d) and the currency conversion mechanics of Section 18. **FOR THE AVOIDANCE OF DOUBT, APPLICATION OF THE GAS PRICE BENCHMARK SHALL NOT RESULT IN THE SEPARATE RECOVERY OF ANY FUEL COST ALREADY INCORPORATED INTO THE WINNING BIDDER'S GAS AUCTION PRICE.**	Ensures consistency with Section 8.6 by requiring Winning Bidders to account for and manage boil-off gas losses as part of their fuel procurement, rather than allowing such losses to be recovered from consumers. Clarifies that the Gas Price Benchmark does not provide a separate mechanism for recovering the full cost of fuel, since Fuel Costs are already included in the GAT Price and winning bid. Instead, the benchmark limits the additional Fuel Costs that may be recovered through the FCPT, thereby preventing double recovery and limiting consumer exposure.
		Proposed to add a new section. **HEDGING REQUIREMENT FOR INDIGENOUS NATURAL GAS. A WINNING BIDDER SOURCING INDIGENOUS NATURAL GAS SHALL, PRIOR TO OR WITHIN ONE HUNDRED EIGHTY (180)**	Provides the ERC with an ex ante mechanism for reducing consumer exposure to fuel price volatility, rather than relying solely on the review of Fuel Costs after they have been incurred. Requiring a substantial portion of expected fuel

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		CALENDAR DAYS FROM THE CERTIFICATE OF AWARD, SECURE A GAS SALE AND PURCHASE AGREEMENT WITH A PRICE THAT IS FIXED, OR FIXED BY CONTRACTUAL FORMULA, FOR A TERM OF NOT LESS THAN TEN (10) YEARS OR THE REMAINDER OF THE OPERATING PERIOD, WHICHEVER IS SHORTER, COVERING NOT LESS THAN [70%] OF THE FACILITY'S EXPECTED ANNUAL GAS OFFTAKE AT THE REFERENCE NET CAPACITY FACTOR.	requirements to be secured through longer-term pricing arrangements can reduce exposure to short-term price spikes and support more predictable electricity costs for consumers.
14	**Section 14. Reference Gas Price for Indigenous Natural Gas.** Where a Winning Bidder sources natural gas from Philippine domestic gas fields under a Gas Sale and Purchase Agreement with a domestic gas producer, the Reference Gas Price shall be determined as follows: 14.1 The Commission shall establish a Reference Gas Price for Indigenous Natural Gas based on: (a) The most recent verified contract price per MMBtu under existing Gas Sale and Purchase Agreements between domestic gas producers and power generators, as reported to and audited by the Commission or the DOE; (b) Any indigenous gas price determination issued by the DOE or the relevant Service Contract authority;	**Section 14. Reference Gas Price ~~for Indigenous Natural Gas~~ DETERMINATION.** ~~Where a Winning Bidder sources natural gas from Philippine domestic gas fields under a Gas Sale and Purchase Agreement with a domestic gas producer, the Reference Gas Price shall be determined as follows:~~ 14.1 ~~The Commission shall establish a Reference Gas Price for Indigenous Natural Gas based on:~~ **THE REFERENCE GAS PRICE FOR INDIGENOUS NATURAL GAS SHALL BE BASED PRIMARILY ON THE VERIFIED PRICE UNDER THE LONG-TERM GSPA SECURED UNDER THE PREVIOUS SECTION, CROSS-CHECKED AGAINST ALL OF THE FOLLOWING BENCHMARKS FOR REASONABLENESS:** (a) The most recent verified contract price per MMBtu under existing Gas Sale and Purchase Agreements between domestic gas producers and power generators, as reported to and audited by the Commission or the DOE; (b) Any indigenous gas price determination issued by the DOE or the relevant Service Contract authority;	This amendment anchors the Reference Gas Price for Indigenous Natural Gas to the Winning Bidder's verified long-term GSPA price, while requiring it to be assessed against all relevant benchmarks for reasonableness. Considering the identified benchmarks together would provide the ERC with a comprehensive and consistent basis for evaluating the contracted price and help ensure that the Fuel Cost ultimately recoverable from consumers remains reasonable and supported by prevailing market data.

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	(c) The netback value of natural gas to the Philippine upstream producer, computed as the JKM spot price less transportation, liquefaction, and other applicable differentials; and (d) Such other market benchmarks as the Commission may determine to be representative of the fair market value of Philippine Indigenous Natural Gas. 14.2 The Commission shall set the Reference Gas Price for Indigenous Natural Gas as the average of the benchmarks identified in Section 14.1, or such other weighted value as the Commission deems representative, expressed in USD/MMBtu on a heating value (HHV or LHV as applicable) basis consistent with the Winning Bidder's GSPA. 14.3 The Reference Gas Price for Indigenous Natural Gas shall not exceed the JKM-equivalent price for LNG delivered in the Philippines, to ensure that indigenous gas is not priced above its import parity. Provided, That the Commission may, upon substantial evidence and after due notice and hearing, adopt a Reference Gas Price for Indigenous Natural Gas that reasonably reflects the actual and prudent cost of production and development, consistent with the policy of prioritizing indigenous natural gas resources under Republic Act No. 12120.	(c) The netback value of natural gas to the Philippine upstream producer, computed as the JKM spot price less transportation, liquefaction, and other applicable differentials; and (d) Such other market benchmarks as the Commission may determine to be representative of the fair market value of Philippine Indigenous Natural Gas. 14.2 The Commission shall set the Reference Gas Price for Indigenous Natural Gas as the average of the benchmarks identified in Section 14.1, or such other weighted value as the Commission deems representative, expressed in USD/MMBtu on a heating value (HHV or LHV as applicable) basis consistent with the Winning Bidder's GSPA. **PROVIDED, THAT ALL OF THE BENCHMARKS PROVIDED UNDER SECTION 14.1 SHALL BE TAKEN INTO ACCOUNT IN SETTING THE REFERENCE GAS PRICE.** 14.3 ~~The Reference Gas Price for Indigenous Natural Gas shall not exceed the JKM-equivalent price for LNG delivered in thePhilippines, to ensure that indigenous gas is not priced above its import parity. Provided, That the Commission may, upon substantial evidence and after due notice and hearing, adopt a Reference Gas Price for Indigenous Natural Gas that reasonably reflects the actual and prudent cost of production and development, consistent with the policy of prioritizing indigenous natural gas resources under Republic Act No. 12120.~~ **PRICE CEILINGS. THE REFERENCE GAS PRICE FOR INDIGENOUS NATURAL GAS SHALL BE SUBJECT TO THE FOLLOWING CEILINGS, APPLIED IN THE ORDER SET OUT BELOW:**	

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		(A) IMPORT PARITY CEILING. THE REFERENCE GAS PRICE SHALL NOT EXCEED THE JKM-EQUIVALENT PRICE FOR LNG DELIVERED IN THE PHILIPPINES, TO ENSURE THAT INDIGENOUS GAS IS NOT PRICED ABOVE ITS IMPORT PARITY; PROVIDED, THAT THE COMMISSION MAY, UPON SUBSTANTIAL EVIDENCE AND AFTER DUE NOTICE AND HEARING, APPROVE A REFERENCE GAS PRICE EXCEEDING THIS CEILING WHERE IT REASONABLY REFLECTS THE ACTUAL AND PRUDENT COST OF PRODUCTION AND DEVELOPMENT OF A SPECIFIC INDIGENOUS GAS FIELD, CONSISTENT WITH THE POLICY OF PRIORITIZING INDIGENOUS NATURAL GAS RESOURCES UNDER REPUBLIC ACT NO. 12120; PROVIDED FURTHER, THAT ANY REFERENCE GAS PRICE APPROVED UNDER THIS PROVISO SHALL REMAIN SUBJECT TO THE ALTERNATIVE TECHNOLOGY CEILING IN SECTION 14.3(B). **(B) ALTERNATIVE TECHNOLOGY CEILING. NOTWITHSTANDING SECTION 14.3(A), THE REFERENCE GAS PRICE, WHEN CONVERTED TO PHP/KWH IN ACCORDANCE WITH SECTION 18, SHALL NOT RESULT IN A CERTIFIED FUEL COST EXCEEDING ONE HUNDRED FIFTY PERCENT (150%) OF THE LEVELIZED COST OF ENERGY OF THE REFERENCE ALTERNATIVE TECHNOLOGY FOR A COMPARABLE CAPACITY AND DISPATCH PROFILE, AS DETERMINED AND PERIODICALLY UPDATED BY THE COMMISSION UNDER SECTION 20: *PROVIDED,* THAT THIS CEILING REFLECTS AN ENERGY-SECURITY PREMIUM RECOGNIZING THE POLICY PRIORITY ACCORDED TO INDIGENOUS NATURAL GAS UNDER REPUBLIC ACT NO. 12120,**	Provides the ERC with an additional consumer-protection benchmark when determining the Reference Gas Price. This allows the ERC to assess not only whether the proposed gas price is reasonable against other gas benchmarks, but also whether the resulting cost remains reasonable relative to an alternative technology capable of providing comparable mid-merit service, thereby protecting consumers from supporting disproportionately high fuel costs. Enables the ERC to recognize the statutory preference for Indigenous Natural Gas while maintaining a clear consumer-protection limit. The differentiated ceiling allows the ERC to account for the energy-security benefits of indigenous supply without leaving consumers exposed to unlimited additional fuel costs. A structural gap in the draft Rules is that the GAT Price is calibrated entirely from within the gas value chain itself. The current methodology does not test whether the resulting ceiling remains

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		AND IS ACCORDINGLY SET HIGHER THAN THE CORRESPONDING CEILING OF ONE HUNDRED TWENTY PERCENT (120%) APPLICABLE TO IMPORTED LNG AND BLENDED NATURAL GAS UNDER SECTIONS 15 AND 16. **THE ALTERNATIVE TECHNOLOGY CEILING UNDER THIS SECTION IS A HARD CAP. NO REFERENCE GAS PRICE, HOWEVER SUBSTANTIATED UNDER THE PROVISO TO SECTION 14.3(A), SHALL BE APPROVED OR CERTIFIED IF IT RESULTS IN A FUEL COST EXCEEDING THE APPLICABLE CEILING UNDER THIS SECTION 14.3(B).**	reasonable against the broader universe of dispatchable and quasi-dispatchable alternatives available to the grid. This matters because mid-merit capacity exists precisely to fill the gap between baseload and peaking needs, and renewable energy paired with battery energy storage systems (RE+BESS) is rapidly emerging as a directly competing solution for that same operational role, particularly at the capacity factors typical of mid-merit dispatch. Setting this mechanism, such as a threshold based on the cost of competing technologies, would enable the ERC to ensure that the GAT Price remains responsive to the falling cost trajectory of renewable energy and storage, while providing a reasonable ceiling against excessive gas prices and their potential effect on WESM prices where gas operates at the margin. The proposed thresholds of 150% for Indigenous Natural Gas and 120% for imported LNG and blended natural gas are indicative placeholders. The appropriate thresholds should ultimately be determined by the ERC based on its own assessment of the reasonable premium, if any, that may be applied to gas relative to competing technologies, taking into account the objectives and policy priorities of the Program.

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15	**Section 15. Reference Gas Price for Imported LNG.** Where a Winning Bidder sources natural gas through the importation of Liquefied Natural Gas (LNG), the Reference Gas Price shall be determined as follows: 15.1 The Commission shall establish an LNG Reference Gas Price based on: (a) Spot LNG Benchmark: The three (3)-month trailing average of the Japan/Korea Marker (JKM) spot price for LNG, as published by S&P Global Platts (or its recognized successor), at the time of each monthly Fuel Cost Pass-Through application; (b) Alternative International Benchmark: The Commission may include Henry Hub Natural Gas Futures Prices (NYMEX) or Title Transfer Facility (TTF) European gas hub prices, appropriately adjusted for Asia-Pacific regional differentials and Philippine import logistics, as supplementary benchmarks for periods of abnormal JKM price volatility or data unavailability; (c) Long-Term Contract Equivalent: For Winning Bidders procuring LNG under long-term sale and purchase agreements, the Commission shall compare the contract price against the applicable spot benchmark and may allow the use of the long-term contract price where it results in lower landed cost.	**Section 15. Reference Gas Price for Imported LNG**. Where a Winning Bidder sources natural gas through the importation of Liquefied Natural Gas (LNG), the Reference Gas Price shall be determined as follows: 15.1 The Commission shall establish an LNG Reference Gas Price based on: (a) Spot LNG Benchmark: The three (3)-month trailing average of the Japan/Korea Marker (JKM) spot price for LNG, as published by S&P Global Platts (or its recognized successor), at the time of each monthly Fuel Cost Pass-Through application; (b) Alternative International Benchmark: The Commission may include Henry Hub Natural Gas Futures Prices (NYMEX) or Title Transfer Facility (TTF) European gas hub prices, appropriately adjusted for Asia-Pacific regional differentials and Philippine import logistics, as supplementary benchmarks for periods of abnormal JKM price volatility or data unavailability; (c) Long-Term Contract Equivalent: For Winning Bidders procuring LNG under long-term sale and purchase agreements, the Commission shall compare the contract price against the applicable spot benchmark and may allow the use of the long-term contract price where it results in lower landed cost. **15.1-A ALTERNATIVE TECHNOLOGY CEILING. NOTWITHSTANDING SECTION 15.1, THE REFERENCE GAS PRICE, WHEN CONVERTED TO PHP/KWH IN ACCORDANCE WITH SECTION 18, SHALL NOT RESULT IN A CERTIFIED FUEL COST EXCEEDING ONE HUNDRED TWENTY PERCENT (120%) OF THE LEVELIZED COST OF ENERGY OF**	As explained in the section above, the GAT Price being calibrated entirely from within the gas value chain itself may result in consumers unreasonable shouldering costs of more expensive natural gas as against increasingly declining costs of dispatchable and quasi-dispatchable

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		THE REFERENCE ALTERNATIVE TECHNOLOGY FOR A COMPARABLE CAPACITY AND DISPATCH PROFILE, AS DETERMINED AND PERIODICALLY UPDATED BY THE COMMISSION UNDER SECTION 20. THIS CEILING IS A HARD CAP AND ADMITS NO EXCEPTION OR PROVISO.	alternatives available to the grid, such as renewable energy paired with battery energy storage systems (RE+BESS).
	15.2 The Reference Gas Price for Imported LNG shall reflect the DES (Delivered Ex-Ship) or the FOB (Free on Board) price at the applicable delivery point, exclusive of regasification, storage, and local transportation costs, which are treated as add-on costs subject to the caps under Section 17.	15.2 The Reference Gas Price for Imported LNG shall reflect the DES (Delivered Ex-Ship) or the FOB (Free on Board) price at the applicable delivery point, exclusive of regasification, storage, and local transportation costs, which are treated as add-on costs subject to the caps under Section 17.	
	15.3 The Commission shall publish the prevailing LNG Reference Gas Price on a monthly basis based on trailing market indices, for use in the monthly FCPT adjustment mechanism.	15.3 The Commission shall publish the prevailing LNG Reference Gas Price on a monthly basis based on trailing market indices, for use in ~~the monthly FCPT adjustment mechanism~~ **DETERMINING THE MAXIMUM ALLOWABLE ADDITIONAL FUEL COST THAT MAY BE RECOVERED THROUGH THE MONTHLY FCPT MECHANISM IN ACCORDANCE WITH SECTIONS 9 AND 12**.	This mechanism enables the ERC to set a wider but essential benchmark against which the GAT Price can be compared against while providing a needed reasonable ceiling price to prevent excessive prices set by Gas in the merit order. The threshold of 120% is a place holder for the ERC's own computation of reasonable thresholds balanced with the spirit of this policy
16	**Section 16. Reference Gas Price for Blended Natural Gas.** Where a Winning Bidder uses a blend of Indigenous Natural Gas and Imported LNG, the Reference Gas Price for Blended Natural Gas shall be the weighted average of the applicable Indigenous Natural Gas Reference Gas Price and the LNG Reference Gas Price, weighted by the volumetric share of each gas source type in the actual monthly gas consumption of the Winning Bidder, as reported and verified under Section 22 of these Rules.	**Section 16. Reference Gas Price for Blended Natural Gas.** Where a Winning Bidder uses a blend of Indigenous Natural Gas and Imported LNG, the Reference Gas Price for Blended Natural Gas shall be the weighted average of the applicable Indigenous Natural Gas Reference Gas Price and the LNG Reference Gas Price, weighted by the volumetric share of each gas source type in the actual monthly gas consumption of the Winning Bidder, as reported and verified under Section 22 of these Rules**; PROVIDED,**	Ensures that the consumer protection applicable to Imported LNG also applies where a Winning Bidder uses Blended Natural Gas. Although the Reference Gas Price remains weighted according to the actual mix of Indigenous Natural Gas and Imported LNG, the resulting Fuel Cost remains subject to the Alternative Technology Ceiling to limit the additional costs ultimately borne by consumers.

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		THAT THE RESULTING REFERENCE GAS PRICE, WHEN CONVERTED TO PHP/KWH IN ACCORDANCE WITH SECTION 18, SHALL NOT RESULT IN A CERTIFIED FUEL COST EXCEEDING ONE HUNDRED TWENTY PERCENT (120%) OF THE LEVELIZED COST OF ENERGY OF THE REFERENCE ALTERNATIVE TECHNOLOGY FOR A COMPARABLE CAPACITY AND DISPATCH PROFILE, AS DETERMINED AND PERIODICALLY UPDATED BY THE COMMISSION UNDER SECTION 20. THIS CEILING SHALL BE A HARD CAP AND SHALL ADMIT NO EXCEPTION OR PROVISO.	Again, the threshold of 120% is a place holder for the ERC's own computation of reasonable thresholds balanced with the spirit of this policy.
		Proposed to add a new section. **ANY WINNING BIDDER THAT UTILIZES A REPLACEMENT FUEL CATEGORY UNDER THIS SECTION FOR A CUMULATIVE PERIOD EXCEEDING NINETY (90) DAYS WITHIN A TWELVE (12)-MONTH PERIOD SHALL BE SUBJECT TO REVIEW BY THE COMMISSION AS TO ITS CONTINUED ELIGIBILITY FOR THE PRIORITY TIER ORIGINALLY AWARDED, AND SHALL SUBMIT CONTEMPORANEOUS DOCUMENTARY EVIDENCE OF THE UNAVAILABILITY OR INSUFFICIENCY OF THE DECLARED FUEL SOURCE, IN A FORM AND MANNER CONSISTENT WITH SECTION 22 OF THE ERC RULES, PRIOR TO THE CERTIFICATION OF ANY FUEL COST CLAIM ARISING FROM SUCH REPLACEMENT AND ANY ADDITIONAL FUEL COST SOUGHT TO BE RECOVERED THROUGH THE FCPT SHALL REMAIN SUBJECT TO THE APPLICABLE GAS PRICE BENCHMARK AND ALTERNATIVE TECHNOLOGY CEILING UNDER THESE RULES.**	Gives the ERC a mechanism to prevent a Winning Bidder from indefinitely retaining preferential treatment where the fuel source on which that treatment was based is no longer being used. This allows the ERC to reassess the applicable treatment where prolonged fuel switching increases costs to consumers.

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<table>
<tr><td rowspan="3">17</td><td colspan="2">Section 17. Allowable Add-On Cost Caps. These add-on costs are recognized as Capped Landed Logistics Costs embedded in the GAT Price pursuant to Section 8.6 and Section 13.4 of these Rules, subject to the maximum caps set forth herein and to period Commission audit and true-up under Rule 4.

The Commission shall review and update these caps annually or as market conditions require.</td><td>Section 17. Allowable Add-On Cost Caps. These add-on costs are recognized as Capped Landed Logistics Costs embedded in the GAT Price pursuant to Section 8.6 and Section 13.4 of these Rules, subject to the maximum caps set forth herein and to period Commission audit and true-up under Rule 4; <u>PROVIDED, THAT THE COMMISSION SHALL PUBLISH THE MAXIMUM CAPS, TOGETHER WITH THE METHODOLOGY, DATA SOURCES, BENCHMARKS, AND BASIS USED FOR THEIR DETERMINATION.</u>

The Commission shall review and update these caps annually or as market conditions require.</td><td>Strengthens the ERC’s basis for setting and reviewing caps on logistics costs that are ultimately incorporated into the GAT Price. Publishing the methodology, data sources and benchmarks used to determine these caps allows the ERC to verify that recoverable amounts are objectively supported and protects consumers from excessive or unsupported logistics costs.</td></tr>
<tr><td>Add-on Cost Component - Scope</td><td>Maximum Cap</td><td></td><td></td></tr>
<tr><td>Regasification/Terminal Fees. Costs of LNG regasification at a Floating Storage and Regasification Unit (FSRU) or onshore import terminal, including terminal access charges, regasification service fees, and boil-off gas charges.</td><td>Not to exceed a cap to be determined by the Commission</td><td>Not to exceed a cap to be determined by the Commission, <u>BASED ON OBJECTIVE AND VERIFIABLE MARKET BENCHMARKS; PROVIDED, THAT THE CAP SHALL REFLECT ONLY REASONABLE REGASIFICATION AND TERMINAL SERVICE COSTS AND SHALL NOT ALLOW THE FRONTLOADING OR RECOVERY OF THE CAPITAL COST OF THE UNDERLYING LNG TERMINAL INFRASTRUCTURE FROM ELECTRICITY CONSUMERS.</u></td><td>Enables the ERC to distinguish reasonable regasification and terminal service costs from the capital cost of the underlying LNG infrastructure. This prevents consumers from indirectly funding infrastructure investments through the GAT Price where those investments are not properly attributable to the services being provided.</td></tr>
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	Applicable to Imported LNG only.			
	Pipeline Transportation. Tariff for the use of regulated natural gas pipelines for transmission of gas from delivery point to the power plant.	Not to exceed a cap to be determined by the Commission.	Not to exceed a cap to be determined by the Commission, **BASED ON THE APPLICABLE REGULATED TARIFF AND OTHER OBJECTIVE AND VERIFIABLE MARKET BENCHMARKS; PROVIDED, THAT THE CAP SHALL REFLECT ONLY REASONABLE PIPELINE TRANSPORTATION SERVICE COSTS AND SHALL NOT RESULT IN THE FRONTLOADING OF THE CAPITAL COST OF THE UNDERLYING PIPELINE INFRASTRUCTURE TO ELECTRICITY CONSUMERS.**	Enables the ERC to ensure that pipeline transportation costs incorporated into the GAT Price reflect applicable regulated tariffs and objectively verifiable service costs. This protects consumers from bearing amounts beyond the reasonable cost of transportation, including the inappropriate recovery or frontloading of underlying pipeline infrastructure costs.
	Marine/Tracking Transportation. Costs of LNG delivery by specialized LNG marine vessel, truck, or other land transport from FSRU or terminal to the Winning Bidder's facility, where applicable.	Not to exceed a cap to be determined by the Commission for delivery distances up to a threshold distance to be determined by the Commission from the FSRU or terminal, escalated pro-rata for each additional increment thereafter, consistent with prevailing international LNG secondary-transport (virtual pipeline) benchmarks.	Not to exceed a cap to be determined by the Commission for delivery distances up to a threshold distance to be determined by the Commission from the FSRU or terminal, escalated pro-rata for each additional increment thereafter, consistent with prevailing international LNG secondary-transport (virtual pipeline) benchmarks; **PROVIDED, THAT THE CAP AND APPLICABLE DISTANCE THRESHOLDS SHALL BE BASED ON OBJECTIVE AND VERIFIABLE MARKET DATA AND THE COMMISSION SHALL ADOPT THE LOWEST REASONABLE COST SUPPORTED BY THE AVAILABLE BENCHMARKS**.	Ensures that marine and trucking transportation caps reflect actual differences in delivery distance and are supported by objective market benchmarks. Where a range of reasonable benchmarks is available, adopting the lowest reasonable cost helps ensure that consumers bear only efficient and necessary transportation costs.
	LNG Storage. Costs of cryogenic storage tanks, custody transfer, and satellite storage	Not to exceed a cap to be determined by the Commission, consistent with prevailing international small-scale LNG storage and satellite regasification service benchmarks.	Not to exceed a cap to be determined by the Commission, consistent with prevailing international small-scale LNG storage and satellite regasification service benchmarks; **PROVIDED, THAT THE CAP SHALL BE BASED ON OBJECTIVE AND VERIFIABLE MARKET DATA AND THE**	Ensures that LNG storage costs are supported by objective and verifiable market benchmarks. Where a range of reasonable costs is available, adopting the lowest reasonable benchmark helps ensure that consumers bear only efficient

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	at or near the power plant, amortized on a per-MMBtu basis.		**COMMISSION SHALL ADOPT THE LOWEST REASONABLE COST SUPPORTED BY THE AVAILABLE BENCHMARKS**.	and necessary storage costs.
	Gas Processing/Conditioning. Costs of conditioning the natural gas to meet plant fuel specifications (pressure regulation, moisture removal, heating adjustment).	Not to exceed the lower of (i) a percentage of the Reference Gas Price, or (ii) a flat cap, each to be determined by the Commission consistent with prevailing international gas- conditioning service benchmarks.	Not to exceed the lower of (i) a percentage of the Reference Gas Price, or (ii) a flat cap, each to be determined by the Commission consistent with prevailing international gas-conditioning service benchmarks**; PROVIDED, THAT THE APPLICABLE CAPS SHALL BE BASED ON OBJECTIVE AND VERIFIABLE MARKET DATA AND THE LOWER RESULTING CAP SHALL APPLY**.	Ensures that gas processing and conditioning costs are supported by objective market benchmarks and that consumers benefit from the lower applicable cap. This limits recovery to reasonable and efficient costs necessary to bring the gas within the plant's fuel specifications.
	Measurement, Testing, Metering. Costs of flow metering, calorimetry, and custody transfer measurement at the plant boundary.	Not to exceed a cap to be determined by the Commission, consistent with prevailing international custody-transfer metering service benchmarks.	Not to exceed a cap to be determined by the Commission, consistent with prevailing international custody-transfer metering service benchmarks**; PROVIDED, THAT THE CAP SHALL BE BASED ON OBJECTIVE AND VERIFIABLE MARKET DATA AND REFLECT ONLY REASONABLE COSTS NECESSARY FOR MEASUREMENT, TESTING, METERING, AND CUSTODY TRANSFER**.	Ensures that measurement, testing and metering costs incorporated into the GAT Price are reasonable, necessary and supported by objective market benchmarks, thereby protecting consumers from excessive or unsupported charges.
	Boil-Off Gas (BOG) Loss Allowance. Ordinary evaporative loss of LNG cargo volume during storage,	Not to exceed an allowance to be determined by the Commission, expressed as a percentage of cargo volume, consistent with generally accepted international LNG industry evaporative-loss standards (GIIGNL/IGU); any BOG loss in excess of the allowance	~~Boil-Off Gas (BOG) Loss Allowance. Ordinary evaporative loss of LNG cargo volume during storage, transport, and regasification, expressed as a percentage of cargo volume received.~~ ~~Not to exceed an allowance to be determined by the Commission, expressed as a percentage of cargo volume, consistent with generally accepted~~	Removes the separate allowance for boil-off gas losses to ensure that these losses are accounted for and managed by the Winning Bidder as part of its LNG procurement. This avoids transferring operational fuel losses to consumers and encourages bidders to account for the efficient management of LNG volumes in

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	transport, and regasification, expressed as a percentage of cargo volume received.	shall not be included in the Fuel Cost Pass-through	~~international LNG industry evaporative loss standards (GIIGNL/IGU); any BOG loss in excess of the allowance shall not be included in the Fuel Cost Pass-through.~~	their fuel procurement strategy.
	Pending the Commission's determination of specific caps under this Section, the default cap for each add-on cost component shall be the most recent Commission-approved or DOE- regulated tariff or rate for the corresponding service or, in the absence thereof, the average of at least three (3) comparable third-party service quotations submitted by the Winning Bidder, subject to Commission verification. No cost component recovered as an Allowable Add-On Cost under this Section shall simultaneously be included, in whole or in part, in the Fixed O&M, Variable O&M, General and Administrative, or All-In Project Cost components used to determine the GAT Price under Rule 2 of these Rules. The Commission shall verify the absence of such double recovery as part of its audit under Section 25 of these Rules. Any add-on cost not listed in the table above, or incurred above the applicable cap, shall not be included in the Fuel Cost Pass-Through and shall be borne by the Winning Bidder unless the Winning Bidder obtains prior Commission approval for the additional cost upon demonstration that it is prudent, reasonable, and unavoidable.		Pending the Commission's determination of specific caps under this Section, the default cap for each add-on cost component shall be the most recent Commission-approved or DOE-regulated tariff or rate for the corresponding service or, in the absence thereof, ~~the average of~~ **THE LOWEST REASONABLE COST SUPPORTED BY** at least three (3) comparable third-party service quotations submitted by the Winning Bidder, subject to Commission verification. No cost component recovered as an Allowable Add-On Cost under this Section shall simultaneously be included, in whole or in part, in the Fixed O&M, Variable O&M, General and Administrative, or All-In Project Cost components used to determine the GAT Price under Rule 2 of these Rules. The Commission shall verify the absence of such double recovery as part of its audit under Section 25 of these Rules. Any add-on cost not listed in the table above, or incurred above the applicable cap, shall not be ~~included in the Fuel Cost Pass-Through~~ **RECOVERABLE FROM ELECTRICITY CONSUMERS** and shall be borne by the Winning Bidder unless the Winning Bidder obtains prior Commission approval for the additional cost upon demonstration that it is prudent, reasonable, and unavoidable.	Ensures that, where no regulated tariff or rate is available, the default cap is based on the lowest reasonable cost demonstrated by comparable market quotations. This provides the ERC with an objective basis for limiting the logistics costs ultimately incorporated into the GAT Price and borne by consumers. Clarifies that add-on costs outside the permitted categories or above the applicable caps may not be recovered from consumers, consistent with the treatment of these costs as capped components of the GAT Price. Any exception remains subject to prior ERC review and a demonstration that the additional cost is prudent, reasonable and

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			unavoidable.
18	**Section 18. Heat Rate and Conversion to PhP/kWh.** The Fuel Cost, for settlement purposes, shall be computed using the Winning Bidder's verified Heat Rate (in MMBtu/kWh), as follows: $FC = RGP\ X\ HR\ X\ FX\ X\ (1 + VAT)$ Where: (a) The Reference Gas Price is as determined under Sections 14 to 16 of these Rules, exclusive of the Allowable Add-On Costs under Section 17, which are instead embedded in the GAT Price pursuant to Section 8.6 of these Rules; (b) The Heat Rate is the verified actual average net heat rate of the Winning Bidder's facility over the applicable	**Section 18. Heat Rate and Conversion to PhP/kWh.** The Fuel Cost, ~~for settlement purposes~~ **FOR PURPOSES OF DETERMINING ANY ALLOWABLE ADDITIONAL FUEL COST RECOVERABLE THROUGH THE FCPT AND ANY FUEL PROCUREMENT SAVINGS UNDER SECTION 21**, shall be computed using the Winning Bidder's verified Heat Rate (in MMBtu/kWh), as follows: $FC = RGP\ X\ HR\ X\ FX\ X\ (1 + VAT)$ **THE FUEL COST COMPUTED UNDER THIS SECTION SHALL SERVE AS THE MAXIMUM FUEL COST REFERENCE FOR PURPOSES OF DETERMINING ANY ALLOWABLE ADDITIONAL FUEL COST RECOVERABLE THROUGH THE FCPT. ONLY THE PORTION OF SUCH ALLOWABLE FUEL COST IN EXCESS OF THE FUEL COST ALREADY INCLUDED IN THE WINNING BIDDER'S GAS AUCTION PRICE MAY BE RECOVERED THROUGH THE FCPT, SUBJECT TO THE APPLICABLE CEILINGS AND LIMITATIONS UNDER THESE RULES.**	Clarifies that the Fuel Cost calculation is used by the ERC to determine additional Fuel Cost recovery and procurement savings, rather than creating an automatic entitlement to recover the entire calculated Fuel Cost from consumers. Clarifies that the Fuel Cost calculated under Section 18 operates as a ceiling for determining allowable additional fuel cost recovery, rather than as a mechanism for recovering the Winning Bidder's entire Fuel Cost. Since Fuel Costs are already included in the GAT Price and winning bid, only allowable costs above that amount may be recovered through the FCPT, thereby limiting consumer exposure to fuel price increases.

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	Settlement Period, as reported and audited under Section 22 of these Rules; the Commission shall also prescribe a maximum allowable Heat Rate for each Facility Type (the Reference Heat Rate) beyond which fuel efficiency losses are not passed through to consumers; and (c) The Exchange Rate (PhP/USD) shall be the average closing rate published by the Bangko Sentral ng Pilipinas (BSP) over the applicable Settlement Period. (d) The Fuel VAT Rate is the value-added tax rate applicable to the importation or sale of natural gas fuel under Section 108 of the National Internal Revenue Code, as amended, to be determined by the Commission consistent with prevailing law, or such other rate as may be prescribed by law: Provided, That logistics costs embedded in the GAT Price under Republic Act No. 11534 (CREATE Act) and applicable Philippine Economic Zone Authority rules shall be excluded from the GAT Price to the extent of such exemption, subject to Commission verification.			
19	**Section 19. Reference Heat Rate Cap.** The Commission shall prescribe a Reference Heat Rate cap for each Facility Type as follows:			
	CCGT	To be determined by the Commission, consistent with commercially available high-efficiency CCGT technology.		
	OCGT	To be determined by the Commission consistent with		

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		commercially available OCGT technology.		
	Gas-Reciprocating Engine	To be determined by the Commission, consistent with commercially available at reciprocating engine technology.		
	Any fuel consumption above the Reference Heat Rate Cap attributable to the inefficient operation of the Winning Bidder's facility (as distinguished from temporary degradation during start-up or grid-directed operation outside the design operating range) shall not be recoverable through the Fuel Cost Pass-Through mechanism. The foregoing Reference Heat Rate Caps are subject to confirmation, adjustment, or supersession under Annex "A" of these Rules within sixty (60) days from effectivity.		**THE COMMISSION SHALL DETERMINE THE REFERENCE HEAT RATE CAPS USING OBJECTIVE AND VERIFIABLE TECHNICAL DATA FOR COMMERCIALLY AVAILABLE HIGH-EFFICIENCY TECHNOLOGY AND SHALL PUBLISH THE METHODOLOGY, DATA SOURCES, BENCHMARKS, AND ASSUMPTIONS USED IN THEIR DETERMINATION.** Any fuel consumption above the Reference Heat Rate Cap attributable to the inefficient operation of the Winning Bidder's facility (as distinguished from temporary degradation during start-up or grid-directed operation outside the design operating range) shall not be recoverable through the Fuel Cost Pass-Through mechanism. The foregoing Reference Heat Rate Caps are subject to confirmation, adjustment, or supersession under Annex "A" of these Rules within sixty (60) days from effectivity.	Ensures that the Reference Heat Rate Caps are based on objective and verifiable technical benchmarks and that the basis for their determination is transparent. Together with the existing restriction on recovery of fuel consumption above the applicable cap, this helps ensure that consumers bear only fuel costs associated with efficient operation of the facility.
20	**Section 20. Annual Review and Update of Gas Price Benchmark.** The Commission shall review and, if necessary, update the Gas Price Benchmark - including the Reference Gas Price, allowable add-on cost caps, and Reference Heat Rate caps —at least once per year, or within sixty (60) days following a material change in market conditions (including a change	**Section 20. Annual Review and Update of Gas Price Benchmark.** The Commission shall review and, if necessary, update the Gas Price Benchmark - including the Reference Gas Price, allowable add-on cost caps, and Reference Heat Rate caps —at least once per year, or within sixty (60) days following a material change in market conditions (including a		

	exceeding a materiality threshold to be determined by the Commission in the JKM spot price, sustained for at least thirty (30) consecutive calendar days, from the level prevailing at the last review). The Commission shall issue updated benchmarks through a Commission resolution, with public notice as required.	change exceeding a materiality threshold to be determined by the Commission in the JKM spot price, sustained for at least thirty (30) consecutive calendar days, from the level prevailing at the last review). The Commission shall issue updated benchmarks through a Commission resolution, with public notice as required. **THE MONTH-ON-MONTH MOVEMENT IN THE ALLOWABLE ADDITIONAL FUEL COST RECOVERABLE THROUGH THE FCPT (PHP/KWH) APPLICABLE TO ANY WINNING BIDDER SHALL NOT EXCEED A VARIANCE THRESHOLD OF TEN PERCENT (10%) RELATIVE TO THE IMMEDIATELY PRECEDING SETTLEMENT PERIOD, WITH ANY RESIDUAL AMOUNT ABOVE THIS THRESHOLD DEFERRED AND RECOVERED IN EQUAL INSTALLMENTS OVER THE SUBSEQUENT THREE (3) SETTLEMENT PERIODS, SUBJECT TO COMMISSION APPROVAL.**	Provides the ERC with a mechanism to manage sudden increases in Fuel Costs passed through to consumers from one Settlement Period to the next. Spreading amounts above the prescribed threshold over subsequent periods, subject to ERC approval, reduces bill volatility while continuing to allow the recovery of reasonable and allowable additional Fuel Costs. The proposed 10% threshold draws from the ERC's existing approach of identifying material month-on-month increases in generation costs as a basis for regulatory intervention and staggered cost recovery. In March 2026, the ERC required distribution utilities experiencing an increase of more than PhP1.00/kWh in their blended generation rate from the previous supply month to report the increase, including any agreed staggered recovery arrangements. The 10% threshold adapts this existing consumer-protection approach to the Fuel Cost framework by using a percentage-based trigger that can respond proportionately to different prevailing Fuel Cost levels. The

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			specific threshold may ultimately be calibrated by the ERC based on historical Fuel Cost movements and its experience in implementing staggered cost recovery.[8]
		Proposed to add a new section. **SECTION [20-A]. REFERENCE ALTERNATIVE TECHNOLOGY AND ALTERNATIVE TECHNOLOGY CEILING METHODOLOGY.** **(A) THE COMMISSION SHALL DEFINE, FOR PURPOSES OF THE ALTERNATIVE TECHNOLOGY CEILING UNDER SECTIONS 14.3(B) AND 15.1-A, A REFERENCE ALTERNATIVE TECHNOLOGY CONSISTING OF A SOLAR AND/OR WIND GENERATION FACILITY COMBINED WITH BATTERY ENERGY STORAGE, SIZED TO DELIVER FIRM CAPACITY ACROSS THE SAME DISPATCH BAND (ABOVE BASELOAD MINIMUM, BELOW FULL-LOAD CONTINUOUS OPERATION) AND AT THE SAME REFERENCE NET CAPACITY FACTOR AS THE APPLICABLE MID-MERIT NATURAL GAS FACILITY TYPE, USING SUCH RENEWABLE RESOURCE MIX, STORAGE DURATION, AND ROUND-TRIP EFFICIENCY ASSUMPTIONS AS THE COMMISSION DETERMINES REPRESENTATIVE OF PREVAILING PHILIPPINE PROJECT CONDITION*; PROVIDED, THAT SUCH ASSUMPTIONS SHALL BE BASED ON OBJECTIVE AND VERIFIABLE TECHNICAL AND MARKET DATA AND THE COMMISSION SHALL PUBLISH THE BASIS FOR THEIR DETERMINATION.**	Provides the ERC with a transparent and consistently applicable methodology for determining the alternative technology against which the consumer-protection ceilings under these Rules are measured. This allows the ERC to periodically assess whether the costs supported through the Program remain reasonable relative to technologies capable of providing comparable mid-merit service.

[8] Philstar. Business: ERC Pushes Staggered Power Cost Recovery (2026) <https://www.philstar.com/business/2026/03/30/2517716/erc-pushes-staggered-power-cost-recovery>

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		(B) COST BASIS. THE LEVELIZED COST OF ENERGY OF THE REFERENCE ALTERNATIVE TECHNOLOGY SHALL BE COMPUTED USING A DISCOUNTED CASH FLOW MODEL APPLYING THE SAME GENERAL METHODOLOGY PRESCRIBED UNDER SECTION 8 OF THESE RULES — INCLUDING CAPITAL COST, WACC, O&M, AND TAX TREATMENT APPROPRIATE TO RENEWABLE ENERGY AND BATTERY STORAGE PROJECTS — BASED ON: **(I) RECENTLY CONCLUDED PHILIPPINE RENEWABLE ENERGY AND BATTERY STORAGE PROJECT COSTS, INCLUDING GREEN ENERGY AUCTION PROGRAM (GEAP) RESULTS;** **(II) INTERNATIONAL BENCHMARK STUDIES FOR SOLAR, WIND, AND BATTERY STORAGE COSTS, ADJUSTED FOR PHILIPPINE CONDITIONS; AND** **(III) SUCH OTHER DATA AS THE COMMISSION DETERMINES REPRESENTATIVE.** **(C) PUBLICATION AND UPDATE. THE COMMISSION SHALL DETERMINE AND PUBLISH THE REFERENCE ALTERNATIVE TECHNOLOGY COST CONCURRENTLY WITH, AND REVIEWED ON THE SAME SCHEDULE AS, THE GAS PRICE BENCHMARK UNDER SECTION 20, AND SHALL PUBLISH THE BASIS FOR ANY CHANGE RELATIVE TO THE PRIOR DETERMINATION.** **(D) APPLICATION. THE REFERENCE ALTERNATIVE TECHNOLOGY COST, EXPRESSED IN PHP/KWH, SHALL BE APPLIED AS THE BASE**	

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		FIGURE AGAINST WHICH THE ALTERNATIVE TECHNOLOGY CEILINGS UNDER SECTIONS 14.3(B) AND 15.1-A ARE COMPUTED.	
	FUEL COST PASS-THROUGH AND AUDIT		
21	**Section 21. Nature and Scope.** The Fuel Cost Pass-Through (FCPT) mechanism allows a Winning Bidder to recover actual, reasonable, and prudent natural gas procurement costs incurred in operating its Mid-Merit Natural Gas Facility, to the extent such costs do not exceed the Gas Price Benchmark ceiling established under Rule 3 of these Rules. Recovery of Fuel Costs is subject to prior Commission certification and periodic audit.	**Section 21. Nature and Scope.** The Fuel Cost Pass-Through (FCPT) mechanism allows a Winning Bidder to recover ~~actual, reasonable, and prudent natural gas procurement costs incurred in operating its Mid-Merit Natural Gas Facility, to the extent such costs do not exceed the Gas Price Benchmark ceiling established under Rule 3 of these Rules~~ **ALLOWABLE ADDITIONAL NATURAL GAS PROCUREMENT COSTS ABOVE THE FUEL COST ALREADY INCLUDED IN THE WINNING BIDDER'S GAS AUCTION PRICE, PROVIDED THAT SUCH ADDITIONAL COSTS ARE ACTUAL, REASONABLE, PRUDENT, VERIFIED, AND WITHIN THE APPLICABLE GAS PRICE BENCHMARK AND OTHER CEILINGS ESTABLISHED UNDER THESE RULES.** Recovery of Fuel Costs is subject to prior Commission certification and periodic audit. **WHERE THE WINNING BIDDER'S ACTUAL, PRUDENT, AND VERIFIED FUEL PROCUREMENT COST IS LOWER THAN THE FUEL COST INCLUDED IN ITS GAS AUCTION PRICE, THIRTY PERCENT (30%) OF THE RESULTING SAVINGS, COMPUTED ON A PHP/KWH BASIS, SHALL BE RETAINED BY THE WINNING BIDDER AS AN EFFICIENCY INCENTIVE, AND THE REMAINING SEVENTY PERCENT (70%) SHALL BE PASSED THROUGH TO CONSUMERS THROUGH THE SETTLEMENT MECHANISM. THE COMMISSION**	Gives the ERC a mechanism to align the commercial incentives of Winning Bidders with the interests of consumers. Allowing Winning Bidders to retain a limited share of verified procurement savings encourages fuel procurement below the applicable benchmark, while ensuring that the majority of those savings are passed through to consumers.

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		SHALL PRESCRIBE THE DETAILED SHARING FORMULA, WHICH SHALL APPLY ONLY TO SAVINGS ARISING FROM FUEL PROCUREMENT BELOW THE FUEL COST INCLUDED IN THE GAS AUCTION PRICE AND SHALL NOT REDUCE THE PROTECTIONS AGAINST RECOVERY OF ADDITIONAL FUEL COSTS ABOVE THE APPLICABLE BENCHMARKS AND CEILINGS UNDER THESE RULES.	
22	**Section 22. Monthly Fuel Cost Reporting.** Each Winning Bidder shall, within ten (10) calendar days after the close of each calendar month, submit to the Commission a Monthly Fuel Cost Report containing the following: (a) Total volume of natural gas consumed during the month (in MMBtu), itemized by gas source type (Indigenous, Imported LNG, Blended); (b) Verified invoice price for each gas source type consumed (in USD/MMBtu), attaching copies of the applicable GSPAs, delivery orders, supplier invoices, and cargo manifest or delivery receipts; (c) Actual Heat Rate for the month (in MMBtu/kWh), computed as total gas consumed divided by total net electrical output (kWh); (d) Actual add-on costs incurred per gas source type (in USD/MMBtu), with supporting documentation for each category; (e) Prevailing JKM or applicable reference index price for the month; and	**Section 22. Monthly Fuel Cost Reporting**. Each Winning Bidder shall, within ten (10) calendar days after the close of each calendar month, submit to the Commission a Monthly Fuel Cost Report containing the following: (a) Total volume of natural gas consumed during the month (in MMBtu), itemized by gas source type (Indigenous, Imported LNG, Blended); (b) Verified invoice price for each gas source type consumed (in USD/MMBtu), attaching copies of the applicable GSPAs, delivery orders, supplier invoices, and cargo manifest or delivery receipts; (c) Actual Heat Rate for the month (in MMBtu/kWh), computed as total gas consumed divided by total net electrical output (kWh); (d) Actual add-on costs incurred per gas source type (in USD/MMBtu), with supporting documentation for each category; (e) Prevailing JKM or applicable reference index price for the month; ~~and~~	

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	(f) Computation of the Fuel Cost (PhP/kWh) claimed for the month, in accordance with the formula in Section 18 of these Rules.	(f) Computation of the ~~Fuel Cost (PhP/kWh) claimed for the month~~ **ACTUAL FUEL COST (PHP/KWH), ANY ALLOWABLE ADDITIONAL FUEL COST CLAIMED THROUGH THE FCPT, AND ANY FUEL PROCUREMENT SAVINGS DETERMINED UNDER SECTION 21**, in accordance with the formula in Section 18 of these Rules, **AND** **(g) WHERE THE ACTUAL FUEL COST IS LOWER THAN THE FUEL COST INCLUDED IN THE WINNING BIDDER'S GAS AUCTION PRICE, THE COMPUTATION OF THE RESULTING SAVINGS AND THE RESPECTIVE SHARES TO BE RETAINED BY THE WINNING BIDDER AND PASSED THROUGH TO CONSUMERS IN ACCORDANCE WITH SECTION 21.**	Provides the ERC with the information necessary to verify both additional Fuel Costs sought to be recovered from consumers and procurement savings that should be shared with consumers under Section 21. Enables the ERC to implement and verify the fuel cost savings mechanism under Section 21. Requiring Winning Bidders to report savings against the Fuel Cost already incorporated into their winning bid ensures that the appropriate share of any procurement savings is passed through to consumers.
23	**Section 23. Commission Certification of Monthly Fuel Cost.** Upon receipt of a complete Monthly Fuel Cost Report under Section 22, the Commission shall: (i) complete a preliminary evaluation of the completeness of the Report within five (5) working days from filing; (ii) complete its staff audit and formula verification within ten (10) working days from completion of the preliminary evaluation; and (iii) issue its certification of the Fuel Cost applicable to the Winning Bidder for the preceding month, or such amount as the Commission determines to be within the Gas Price Benchmark, on or before the thirtieth (30th) calendar day after the close of the applicable billing month.	**Section 23. Commission Certification of Monthly Fuel Cost.** Upon receipt of a complete Monthly Fuel Cost Report under Section 22, the Commission shall: (i) complete a preliminary evaluation of the completeness of the Report within five (5) working days from filing; (ii) complete its staff audit and formula verification within ten (10) working days from completion of the preliminary evaluation; and (iii) issue its certification of the ~~Fuel Cost applicable to the Winning Bidder~~ **ACTUAL FUEL COST, ANY ALLOWABLE ADDITIONAL FUEL COST RECOVERABLE THROUGH THE FCPT, AND ANY FUEL PROCUREMENT SAVINGS AND CORRESPONDING SHARES UNDER SECTION 21** for the preceding month, or such amount as the Commission determines to be within the Gas Price Benchmark, on or before the thirtieth (30th) calendar day after the close of the applicable billing month.	Clarifies the scope of the ERC's monthly certification so that it separately identifies additional Fuel Costs recoverable from consumers and procurement savings due to consumers.

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		WHERE THE ACTUAL FUEL COST IS LOWER THAN THE FUEL COST INCLUDED IN THE WINNING BIDDER'S GAS AUCTION PRICE, THE CERTIFICATION SHALL INCLUDE THE CALCULATION OF THE RESULTING FUEL PROCUREMENT SAVINGS AND THE RESPECTIVE SHARES OF THE WINNING BIDDER AND CONSUMERS IN ACCORDANCE WITH SECTION 21 OF THESE RULES.	This amendment provides for ERC verification of any Fuel Procurement Savings achieved below the Fuel Cost incorporated into the winning bid, including the corresponding allocation between the Winning Bidder and consumers in accordance with Section 21. This would support the consistent implementation of the savings-sharing mechanism and help ensure that consumers receive their appropriate share of the benefits arising from more efficient fuel procurement.
	The certified Fuel Cost shall be transmitted to the MO for incorporation in the Settlement Mechanism computation for the applicable Settlement Period.	The ~~certified Fuel Cost~~ **COMMISSION'S CERTIFICATION, INCLUDING ANY ALLOWABLE ADDITIONAL FUEL COST OR CONSUMER SHARE OF FUEL PROCUREMENT SAVINGS, AS APPLICABLE**, shall be transmitted to the MO for incorporation in the Settlement Mechanism computation for the applicable Settlement Period.	
	Where a Winning Bidder's actual invoiced fuel or add-on cost component exceeds the applicable benchmark or cap prescribed under Rule 3 for that specific component, the Commission shall certify only the lesser of the actual invoiced amount or the applicable benchmark/cap for that component, on a component-by-component basis, and shall certify components priced at or below their respective benchmarks/caps at their actual invoiced amount; the sum of the component-level certified amounts shall constitute the certified Fuel Cost for the applicable Settlement Period.	Where a Winning Bidder's actual invoiced fuel or add-on cost component exceeds the applicable benchmark or cap prescribed under Rule 3 for that specific component, the Commission shall certify only the lesser of the actual invoiced amount or the applicable benchmark/cap for that component, on a component-by-component basis, and shall certify components priced at or below their respective benchmarks/caps at their actual invoiced amount; ~~the sum of the component-level certified amounts shall constitute the certified Fuel Cost for the applicable Settlement Period.~~ **ONLY THE ALLOWABLE ADDITIONAL FUEL COST ABOVE THE FUEL COST ALREADY INCLUDED IN THE GAS AUCTION PRICE MAY BE RECOVERED**	Prevents double recovery by clarifying that ERC certification of actual Fuel Costs does not itself make the entire amount separately recoverable from consumers. The FCPT applies only to the allowable additional amount above the Fuel Cost already incorporated into the Gas Auction Price.

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		THROUGH THE FCPT FOR THE APPLICABLE SETTLEMENT PERIOD.	
24	**Section 24. Documentation and Records Retention.** Each Winning Bidder shall maintain complete records of all gas procurement transactions, including original GSPAs, addenda, take-or-pay provisions, actual invoices, proof of payment, cargo documents, delivery receipts, gas composition certificates, metering records, and evidence of least-cost procurement, for a minimum period of seven (7) years from the date of the transaction. Such records shall be made available to the Commission or its authorized representatives upon request and at any time during a Commission audit. The mandatory supporting attachments for the Monthly Fuel Cost Report under Section 22, and the minimum verification standard applicable to each, are set out in the Annex on Power Purchase Agreement (PPA) Monthly Billing, Documentation, and Audit Procedures.	**Section 24. Documentation and Records Retention.** Each Winning Bidder shall maintain complete records of all gas procurement transactions, including original GSPAs, addenda, take-or-pay provisions, actual invoices, proof of payment, cargo documents, delivery receipts, gas composition certificates, metering records, and evidence of least-cost procurement, **INCLUDING SUCH RECORDS AS MAY BE NECESSARY TO VERIFY ANY ADDITIONAL FUEL COST CLAIMED THROUGH THE FCPT AND ANY FUEL PROCUREMENT SAVINGS DETERMINED UNDER SECTION 21**, for a minimum period of seven (7) years from the date of the transaction. Such records shall be made available to the Commission or its authorized representatives upon request and at any time during a Commission audit. The mandatory supporting attachments for the Monthly Fuel Cost Report under Section 22, and the minimum verification standard applicable to each, are set out in the Annex on Power Purchase Agreement (PPA) Monthly Billing, Documentation, and Audit Procedures.	Ensures that the ERC has the documentary basis necessary to verify both additional Fuel Costs sought to be recovered through the FCPT and Fuel Procurement Savings required to be shared with consumers. This strengthens the ERC's ability to identify unsupported costs and verify that consumers receive the savings due to them.
25	**Section 25. ERC Audit of Fuel Procurement.** The Commission shall conduct periodic audits of the fuel procurement practices of Winning Bidders, at least once every two (2) years during the term of the award, to verify: (a) That gas is procured at the most favorable terms commercially available given the Winning Bidder's supply requirements and gas supply market conditions (least-cost procurement standard);	**Section 25. ERC Audit of Fuel Procurement**. The Commission shall conduct periodic audits of the fuel procurement practices of Winning Bidders, at least once every two (2) years during the term of the award, to verify: (a) That gas is procured at the most favorable terms commercially available given the Winning Bidder's supply requirements and gas supply market conditions (least-cost procurement standard);	

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	(b) That all add-on costs claimed do not exceed the caps prescribed under Section 17 of these Rules;	(b) That all add-on costs claimed do not exceed the caps prescribed under Section 17 of these Rules;	
		(c) THAT ANY FUEL PROCUREMENT SAVINGS DETERMINED UNDER SECTION 21 WERE ACCURATELY REPORTED AND COMPUTED, AND THAT THE RESPECTIVE SHARES OF THE WINNING BIDDER AND CONSUMERS WERE CORRECTLY APPLIED;	Strengthens the ERC's ability to assess whether Fuel Costs passed through to consumers result from reasonable and efficient procurement. Expanding the audit to cover procurement savings, related-party arrangements and compliance with fuel procurement requirements allows the ERC to identify avoidable or unsupported costs before allowing them to remain with consumers.
	(c) That the actual Heat Rate reported is consistent with the design specifications and verified plant performance tests;	**(d)** That the actual Heat Rate reported is consistent with the design specifications and verified plant performance tests;	
	(d) That there are no undisclosed related-party transactions, rebates, volume discounts, or other arrangements that would lower the effective gas cost below the amount invoiced and claimed in the FCPT; and	**(e)** That the Winning Bidder is not entering into gas procurement arrangements that are not at arm's length or that include costs not related to the procurement of gas for the Mid-Merit Natural Gas Facility; and ~~claimed in the~~ **FCPT <u>USED TO DETERMINE ANY ADDITIONAL FUEL COST RECOVERABLE THROUGH THE FCPT OR ANY FUEL PROCUREMENT SAVINGS UNDER SECTION 21**; and	
	(e) That the Winning Bidder is not entering into gas procurement arrangements that are not at arm's length or that include costs not related to the procurement of gas for the Mid-Merit Natural Gas Facility.	**(f)** That the Winning Bidder is not entering into gas procurement arrangements that are not at arm's length or that include costs not related to the procurement of gas for the Mid-Merit Natural Gas Facility**; AND**	
	The specific verification formula applicable to each of the foregoing audit criteria, including the Net Energy	**(g) THAT THE WINNING BIDDER HAS COMPLIED WITH THE APPLICABLE LONG-TERM GAS SUPPLY ARRANGEMENT REQUIREMENTS UNDER**	

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	Generation, Fuel Cargo Price, Regasification and Storage Fee, Pipeline Transmission Fee, Boil-Off Gas Loss, Heat Rate, and Exchange Rate audits, is set out in the Annex on PPA Monthly Billing, Documentation, and Audit Procedures.	**SECTIONS 14 AND 15 OF THESE RULES AND, IN THE CASE OF IMPORTED LNG, HAS ADOPTED AND MAINTAINED REASONABLE FUEL PRICE HEDGING MEASURES FOR ANY PORTION OF ITS EXPECTED LNG REQUIREMENTS EXPOSED TO SPOT OR OTHER SHORT-TERM PRICE VOLATILITY, IN ACCORDANCE WITH SECTION 15.1(C).** **QUALIFIED BIDDERS AND WINNING BIDDERS SHALL DISCLOSE, AT THE TIME OF REGISTRATION UNDER SECTION 9.4 OF THE CIRCULAR AND ANNUALLY THEREAFTER, ALL RELATED-PARTY RELATIONSHIPS WITH ANY COUNTERPARTY TO A GAS SALE AND PURCHASE AGREEMENT OR FUEL LOGISTICS ARRANGEMENT RELEVANT TO THE MID-MERIT NATURAL GAS FACILITY. THE COST OF ANY AUDIT CONDUCTED UNDER THIS SECTION THAT RESULTS IN A FINDING OF DISALLOWANCE SHALL BE BORNE BY THE WINNING BIDDER.** The specific verification formula applicable to each of the foregoing audit criteria, including the Net Energy Generation, Fuel Cargo Price, Regasification and Storage Fee, Pipeline Transmission Fee, ~~Boil-Off Gas Loss~~, Heat Rate, and Exchange Rate audits, is set out in the Annex on PPA Monthly Billing, Documentation, and Audit Procedures.	Aligns the ERC's audit framework with the proposed removal of Boil-Off Gas Loss as a separately recoverable cost, ensuring that the audit provision does not inadvertently create a basis for passing this cost through to consumers.
26	**Section 26. Disallowance and Recovery.** Where the Commission's audit finds that Fuel Costs claimed by a Winning Bidder exceed the Gas Price Benchmark or are otherwise imprudent, non-compliant, or not supported by adequate documentation, the Commission shall:	Section 26. Disallowance and Recovery. Where the Commission's audit finds that ~~Fuel Costs claimed~~ **ADDITIONAL FUEL COSTS SOUGHT TO BE RECOVERED THROUGH THE FCPT** by a Winning Bidder exceed the Gas Price Benchmark **OR OTHER APPLICABLE CEILINGS UNDER THESE RULES**, or	Strengthens the ERC's ability to correct amounts improperly borne by consumers. Expressly allowing the recovery of both disallowed additional Fuel Costs and Fuel Procurement Savings that were not properly passed through ensures that the

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		are otherwise imprudent, non-compliant, or not supported by adequate documentation, **OR FINDS THAT FUEL PROCUREMENT SAVINGS REQUIRED TO BE SHARED WITH CONSUMERS UNDER SECTION 21 WERE INCORRECTLY COMPUTED OR APPLIED**, the Commission shall:	ERC can return to consumers amounts that should not have been charged or retained.
	(a) Issue a Notice of Disallowance specifying the disallowed amount and the basis therefor;	(a) Issue a Notice of Disallowance specifying the disallowed amount **OR ANY AMOUNT DUE TO CONSUMERS, AS APPLICABLE**, and the basis therefor;	
	(b) Direct the MO to offset the disallowed amount against future Fuel Cost settlements for the Winning Bidder, or to recover the disallowed amount from the Winning Bidder through such mechanism as may be provided in the approved Settlement Mechanism; and	(b) Direct the MO to offset the disallowed amount against future ~~Fuel Cost settlements~~ **FCPT SETTLEMENTS** for the Winning Bidder, or to recover the disallowed amount **OR ANY AMOUNT DUE TO CONSUMERS** from the Winning Bidder through such mechanism as may be provided in the approved Settlement Mechanism; and	
	(c) Report the disallowance to the DOE for appropriate action under the terms of the Certificate of Award. Repeated or material disallowances may serve as grounds for the Commission to recommend to the DOE the revocation or modification of the Certificate of Award.	(c) Report the disallowance to the DOE for appropriate action under the terms of the Certificate of Award. Repeated or material disallowances may serve as grounds for the Commission to recommend to the DOE the revocation or modification of the Certificate of Award.	
SETTLEMENT MECHANISM			
27	**Section 27. Obligation to Submit Settlement Mechanism.** Pursuant to Section 19.2.1 of the Gas Auction Circular, the MO shall submit a proposed Settlement Mechanism to the Commission for review and approval within thirty (30) calendar days from the		

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	Effectivity of the Gas Auction Circular. The proposed Settlement Mechanism shall incorporate the principles, formulas, and requirements prescribed in these Rules and in the Gas Auction Circular, and shall be supplemented by such operational specifications, system requirements, and procedural guidelines as are necessary for implementation in the WESM.		
28	**Section 28. Required Contents of the Settlement Mechanism**. The Settlement Mechanism submitted by the MO shall, at minimum, contain the following: (a) The formula and procedure for computing the Total Mid-Merit Settlement Amount (MMSA) per Winning Bidder per Settlement Period, in accordance with Section 29 of these Rules; (b) The procedure for comparing the MMSA against the Energy Trading Amount (ETA) of the Winning Bidder for the same Settlement Period; (c) The formula and procedure for computing and collecting Auction Shortfall Amounts from WESM customers, in accordance with Section 30 of these Rules; (d) The formula and procedure for computing and flowing back Auction Flowback Amounts to WESM customers, in accordance with Section 31 of these Rules; (e) The procedure for settlement under the PSPP-Based Auction Track, including BCQ declaration protocols and DU direct settlement obligations, in accordance with Section 32 of these Rules;	**Section 28. Required Contents of the Settlement Mechanism**. The Settlement Mechanism submitted by the MO shall, at minimum, contain the following: (a) The formula and procedure for computing the Total Mid-Merit Settlement Amount (MMSA) per Winning Bidder per Settlement Period, in accordance with Section 29 of these Rules; (b) The procedure for comparing the MMSA against the Energy Trading Amount (ETA) of the Winning Bidder for the same Settlement Period; (c) The formula and procedure for computing and collecting Auction Shortfall Amounts from WESM customers, in accordance with Section 30 of these Rules; (d) The formula and procedure for computing and flowing back Auction Flowback Amounts to WESM customers, in accordance with Section 31 of these Rules; (e) The procedure for settlement under the PSPP-Based Auction Track, including BCQ declaration protocols and DU direct settlement obligations, in accordance with Section 32 of these Rules;	

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	(f) The mechanism for incorporating the Commission-certified Fuel Cost (FC) into the periodic settlement computation;	(f) The mechanism for incorporating the ~~Commission-certified Fuel Cost (FC)~~ **COMMISSION-CERTIFIED ALLOWABLE ADDITIONAL FUEL COST RECOVERABLE THROUGH THE FCPT, AND ANY CONSUMER SHARE OF FUEL PROCUREMENT SAVINGS DETERMINED UNDER SECTION 21**, into the periodic settlement computation;	Aligns the Settlement Mechanism with the proposed inclusion of Fuel Costs in the winning bid. Rather than adding the Winning Bidder's entire Fuel Cost to the GAP during settlement, the mechanism would incorporate only any allowable additional Fuel Cost certified by the ERC and would also account for any fuel procurement savings required to be passed through to consumers under Section 21.
	(g) The preliminary and final settlement computation cycles and the reconciliation procedure for adjustments between preliminary and final settlement;	(g) The preliminary and final settlement computation cycles and the reconciliation procedure for adjustments between preliminary and final settlement;	
	(h) The treatment of force majeure events, dispatch curtailments directed by the System Operator, and other operational factors affecting energy delivery;	(h) The treatment of force majeure events, dispatch curtailments directed by the System Operator, and other operational factors affecting energy delivery;	
	(i) The treatment of the Carve-Out Mechanism pursuant to Section 33 of these Rules;	(i) The treatment of the Carve-Out Mechanism pursuant to Section 33 of these Rules;	
	(j) The dispute resolution procedure for Settlement Period disputes;	(j) The dispute resolution procedure for Settlement Period disputes;	
	(k) The cost recovery mechanism for MO expenses incurred in administering the Settlement Mechanism, subject to Commission approval under Section 34 of these Rules.	(k) The cost recovery mechanism for MO expenses incurred in administering the Settlement Mechanism, subject to Commission approval under Section 34 of these Rules.	
	For the avoidance of doubt, no Settlement Mechanism, Power Supply Agreement, or Pro-forma Auction Agreement approved or endorsed under these Rules shall provide for the recovery of a capacity fee or similar fixed charge that is payable to a Winning Bidder independently of, or is not directly proportional to, the Energy Delivered for the relevant Settlement Period, it being the policy of these Rules that Winning Bidders be compensated strictly on a per-kilowatt-hour-delivered	For the avoidance of doubt, no Settlement Mechanism, Power Supply Agreement, or Pro-forma Auction Agreement approved or endorsed under these Rules shall provide for the recovery of a capacity fee or similar fixed charge that is payable to a Winning Bidder independently of, or is not directly proportional to, the Energy Delivered for the relevant Settlement Period, it being the policy of these Rules that Winning Bidders be compensated strictly on a per-kilowatt-hour-delivered	Prevents double recovery of Fuel Costs by clarifying that the GAP already incorporates the Fuel Cost included in the Winning Bidder's bid. Settlement therefore adjusts the GAP only for ERC-certified additional Fuel Costs or consumer savings, ensuring that consumers pay no more than the amounts permitted under the applicable safeguards in these Rules.

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	basis at the endorsed GAP plus certified Fuel Cost.	basis at the endorsed GAP ~~plus certified Fuel Cost~~ **PLUS ANY COMMISSION-CERTIFIED ALLOWABLE ADDITIONAL FUEL COST RECOVERABLE THROUGH THE FCPT, LESS ANY CONSUMER SHARE OF FUEL PROCUREMENT SAVINGS DETERMINED UNDER SECTION 21**.	
29	**Section 29. Total Mid-Merit Settlement Amount (MMSA).** For each Winning Bidder (g) and each Settlement Period, the Total Mid-Merit Settlement Amount shall be computed as: $MMSA(g) = Energy\ Delivered(g) \times (GAP(g) + FC(g))$ Where: (a) Energy Delivered (g) is the total net electrical energy (kWh) generated by Winning Bidder (g) and injected into the grid during the Settlement Period, as metered and verified by the MO in accordance with WESM metering standards; (b) GAP (g) is the Gas Auction Price of Winning Bidder (g), as endorsed by the DOE and approved by the Commission pursuant to the Gas Auction Circular; and (c) FC (g) is the Fuel Cost of the Winning Bidder (g) for the applicable Settlement Period, as certified by the Commission pursuant to Section 23 of these Rules.	**Section 29. Total Mid-Merit Settlement Amount (MMSA).** For each Winning Bidder (g) and each Settlement Period, the Total Mid-Merit Settlement Amount shall be computed as: ~~$MMSA(g) = Energy\ Delivered(g) \times (GAP(g) + FC(g))$~~ **MMSA(g) = ENERGY DELIVERED(g) × [GAP(g) + AFC(g) – CS(g)]** Where: (a) Energy Delivered (g) is the total net electrical energy (kWh) generated by Winning Bidder (g) and injected into the grid during the Settlement Period, as metered and verified by the MO in accordance with WESM metering standards; (b) GAP (g) is the Gas Auction Price of Winning Bidder (g), as endorsed by the DOE and approved by the Commission pursuant to the Gas Auction Circular **WHICH INCLUDES THE FUEL COST INCORPORATED INTO THE WINNING BIDDER'S PRICE OFFER**; ~~(c) FC (g) is the Fuel Cost of the Winning Bidder (g) for the applicable Settlement Period, as certified by the Commission pursuant to Section 23 of these Rules.~~ **(c) AFC (g) IS THE ALLOWABLE ADDITIONAL FUEL COST OF THE WINNING BIDDER (g) FOR THE**	Aligns the MMSA computation with the inclusion of Fuel Costs in the Gas Auction Price. Since the GAP already incorporates the Fuel Cost included in the Winning Bidder's bid, the Settlement Mechanism should add only Commission-certified additional Fuel Costs and deduct any fuel procurement savings due to consumers under Section 21. This avoids double recovery and ensures that consumers receive the benefit of applicable fuel cost savings.

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	The MMSA represents the total revenue to which the Winning Bidder is entitled in a given Settlement Period from all settlement sources combined (WESM ETA plus shortfall collection or minus flowback).	**APPLICABLE SETTLEMENT PERIOD RECOVERABLE THROUGH THE FCPT, AS CERTIFIED BY THE COMMISSION PURSUANT TO SECTION 23 OF THESE RULES; AND** **(d) CS (g) IS THE CONSUMER SHARE OF ANY FUEL PROCUREMENT SAVINGS DETERMINED AND CERTIFIED PURSUANT TO SECTIONS 21 AND 23 OF THESE RULES.** The MMSA represents the total revenue to which the Winning Bidder is entitled in a given Settlement Period from all settlement sources combined (WESM ETA plus shortfall collection or minus flowback), **WHICH SHALL BE COMPUTED ONLY FOR A SETTLEMENT PERIOD FALLING WITHIN THE WINNING BIDDER'S SETTLEMENT GUARANTEE PERIOD**.	
30	**Section 30. WESM-Based Settlement - Collection of Auction Shortfall.** For Winning Bidders in a PDP-Based Auction Round, where the Energy Trading Amount (ETA) received by a Winning Bidder (g) from normal WESM settlement in a given Settlement Period is less than the MMSA (g), an Auction Shortfall Amount arises. The MO shall collect this shortfall from al WESM customers as follows: 30.1 Auction Shortfall Amount: *Shortfall Amount (g) = MMSA(g) - ETA(g)*	Section 30. WESM-Based Settlement - Collection of Auction Shortfall. For Winning Bidders in a PDP-Based Auction Round, where the Energy Trading Amount (ETA) received by a Winning Bidder (g) from normal WESM settlement in a given Settlement Period is less than the MMSA (g), an Auction Shortfall Amount arises. The MO shall collect a Recoverable Shortfall Amount from all WESM customers, computed as follows: 30.1 Auction Shortfall Amount**, REPRICED SHORTFALL AMOUNT, AND RECOVERABLE SHORTFALL AMOUNT**: *Shortfall Amount(g) = MMSA(g) - ETA(g)* **REPRICED SHORTFALL AMOUNT(G) = ENERGY SHORTFALL QUANTITY(G) X MINIMUM MID-MERIT ORDER PRICE(PREVIOUS YEAR)**	The amendment places a ceiling on the shortfall amount that may be collected from the consumers, such that they shall only pay whichever is lower between (a) the full gap, or (b) the gap priced at previous year's minimum mid-merit order price instead of just the full gap amount. Whatever isn't collected is absorbed by the winning bidder rather than passed to consumers: This will further strengthen ERC's protection over consumers aligned with the objective of ensuring least-cost electricity.

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		RECOVERABLE SHORTFALL AMOUNT(G) = MIN [SHORTFALL AMOUNT(G), REPRICED SHORTFALL AMOUNT(G)] **ENERGY SHORTFALL QUANTITY(G) = SHORTFALL AMOUNT(G) / GAP (G).** **CURRENT YEAR MID-MERIT ORDER PRICE (g) MEANS THE WINNING PRICE OFFER OF WINNING BIDDER (g) FOR THE APPLICABLE AUCTION ROUND.** **MINIMUM MID-MERIT ORDER PRICE (PREVIOUS YEAR) IS THE LOWEST CLEARING PRICE ACCEPTED FOR MID-MERIT CAPACITY IN THE WESM MERIT ORDER DURING THE IMMEDIATELY PRECEDING CALENDAR YEAR.**	
	30.2 Collection Allocation per WESM Customer (c): Collection Allocation (c, g) = Shortfall Amount (g) x (GESQ(c)/GESQ(total)) Where: - GESQ(c) is the Gross Energy Settlement Quantity of WESM customer (c) during the same Settlement Period; GESQ (total) is the total Gross Energy Settlement Quantity of all WESM customers during the same Settlement Period.	30.2 Collection Allocation per WESM Customer (c): Collection Allocation (c, g) = **RECOVERABLE** Shortfall Amount (g) x (GESQ(c)/GESQ(total)) Where: - GESQ(c) is the Gross Energy Settlement Quantity of WESM customer (c) during the same Settlement Period; GESQ (total) is the total Gross Energy Settlement Quantity of all WESM customers during the same Settlement Period.	

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	30.3 The MO shall include the Collection Allocation in the WESM bill of each applicable customer. Collected amounts shall be remitted to the Winning Bidder (g) to make up the difference between the ETA and the MMSA. 30.4 Where multiple Winning Bidders have Auction Shortfall Amounts in the same Settlement Period, the Collection Allocations of all Winning Bidders shall be aggregated in the customer's WESM bill, with each Winning Bidder's collection component identified separately.	30.3 The MO shall include the Collection Allocation in the WESM bill of each applicable customer. Collected amounts shall be remitted to the Winning Bidder (g~~) to make up the difference between the ETA and the MMSA~~ **UP TO THE RECOVERABLE SHORTFALL AMOUNT. ANY RESIDUAL DIFFERENCE BETWEEN THE AUCTION SHORTFALL AMOUNT AND THE RECOVERABLE SHORTFALL AMOUNT SHALL BE BORNE BY THE WINNING BIDDER(G) AND SHALL NOT BE COLLECTED FROM WESM CUSTOMERS.** 30.4 Where multiple Winning Bidders have Auction Shortfall Amounts in the same Settlement Period, the Collection Allocations of all Winning Bidders shall be aggregated in the customer's WESM bill, with each Winning Bidder's collection component identified separately. **30.5 NO AUCTION SHORTFALL AMOUNT SHALL BE COLLECTED FROM WESM CUSTOMERS FOR ANY SETTLEMENT PERIOD FALLING OUTSIDE THE WINNING BIDDER'S SETTLEMENT GUARANTEE PERIOD.**	Clarifies that the obligation of WESM customers to fund an Auction Shortfall applies only during the Winning Bidder's Settlement Guarantee Period. This ensures that consumer-funded revenue support does not extend beyond the period expressly provided under these Rules.
30 A		**Proposed to add a new section.** **30-A. SETTLEMENT GUARANTEE PERIOD.** **30-A.1 THE AUCTION SHORTFALL AMOUNT RECOVERY MECHANISM UNDER SECTION 30 SHALL APPLY ONLY DURING THE TERM OF THE CONTRACT AWARDED UNDER THE PROGRAM. IN NO CASE SHALL THE SETTLEMENT GUARANTEE**	Establishes a clear maximum period during which consumers may be required to support Auction Shortfall Amounts, without limiting the economic operating life of the facility. The Winning Bidder may continue to operate and earn revenues from the WESM or other permissible arrangements after the Settlement Guarantee Period, but the expiry of the

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		PERIOD EXCEED FIFTEEN (15) YEARS FROM THE COMMERCIAL OPERATIONS DATE OF THE WINNING BIDDER'S FACILITY, NOTWITHSTANDING THAT THE OPERATING PERIOD APPLIED FOR CAPITAL RECOVERY PURPOSES UNDER SECTION 8.8 MAY BE LONGER. **30-A.2 UPON EXPIRY OF THE CONTRACT AWARDED UNDER THE PROGRAM AND, CONSEQUENTLY, THE SETTLEMENT GUARANTEE PERIOD, THE AUCTION SHORTFALL AMOUNT RECOVERY MECHANISM UNDER SECTION 30 SHALL CEASE. THE WINNING BIDDER MAY THEREAFTER CONTINUE TO OPERATE AND SELL ELECTRICITY INTO THE WESM AT PREVAILING MARKET PRICES OR SECURE SUCH OTHER REVENUE ARRANGEMENTS AS MAY BE PERMITTED UNDER APPLICABLE LAW AND REGULATION.** **30-A.3 THE EXPIRY OF THE SETTLEMENT GUARANTEE PERIOD SHALL NOT, BY ITSELF, GIVE RISE TO ANY ENTITLEMENT TO AN EXTENSION OF THE AUCTION SHORTFALL AMOUNT RECOVERY MECHANISM OR TO COMPENSATION FOR ANY REMAINING UNDEPRECIATED CAPITAL OR THE UNEXPIRED**	guarantee does not extend consumer-backed revenue support or create an additional entitlement to compensation. This distinction allows the GAT Price to be calculated over the facility's full economic useful life while limiting the period of consumer exposure to a maximum of fifteen years.[9] The amendment further emphasizes that the settlement guarantee should be strictly only during the period of the contract awarded under the program.

[9] Splitting the GAT price and the MMSA price by adjusting the operating periods to different sizes. We need to be careful because if they only take the GAT price adjustment then we have effectively extended the regulated lifespan of the plant to 25 years.

Section 30, as originally drafted, guarantees a Winning Bidder full shortfall recovery, funded by consumers, for the entire Operating Period, with no mechanism to revisit that guarantee if system need for the capacity declines. Combined with the 25-year Operating Period under Section 8.7, this is the principal driver of long-term gas lock-in: consumers and the system remain bound to the original price and capacity for the life of the plant, regardless of whether cheaper alternatives later emerge. Section 30-A decouples the settlement guarantee from the capital recovery period, bounding the guarantee to an initial 10-year term subject to a periodic, criteria-based re-test of continued system need. A plant that remains competitive is unaffected , its guarantee simply rolls forward. Where system need is no longer confirmed, the guarantee lapses rather than the Certificate of Award being revoked: the Winning Bidder retains market access and, where its remaining capital is not recoverable through ordinary WESM earnings, receives a formula-driven, auditable stranded-cost payment. This preserves the plant's financeability while giving the system a genuine, non-confiscatory exit from an otherwise 25-year commitment.

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		PORTION OF THE FACILITY'S OPERATING PERIOD. **30-A.4 THE SETTLEMENT GUARANTEE SHALL APPLY ONLY IN RESPECT OF ELECTRICITY ACTUALLY GENERATED AND DELIVERED IN ACCORDANCE WITH THE PROGRAM AND SHALL NOT CONSTITUTE AN ASSURED OR MINIMUM OFFTAKE OBLIGATION, TAKE-OR-PAY ARRANGEMENT, OR OTHER GUARANTEE OF PAYMENT FOR ELECTRICITY THAT IS NOT GENERATED AND DELIVERED.**	
31	**Section 31. WESM-Based Settlement - Flowback of Auction Excess.** For Winning Bidders in a PDP-Based Auction Round, where the Energy Trading Amount (ETA) received by a Winning Bidder (g) from normal WESM settlement exceeds the MMSA (g) in a given Settlement Period, an Auction Flowback Amount arises. The MO shall flow back this excess to WESM customers as follows: 31.1 Auction Flowback Amount: *Flowback Amount(g) = ETA(g) - MMSA(g)* 31.2 Flowback Allocation per WESM Customer (c): *Flowback Allocation (cg) = Flowback Amount(g)x *GESQ(c)/GESQ(total)* 31.3 The MO shall credit the Flowback Allocation to each applicable WESM customer's bill in the same Settlement Period as the excess arises, or in the immediately succeeding Settlement Period.		

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	31.4 Where Flowback Amounts co-exist with Shortfall Amounts from different Winning Bidders in the same Settlement Period, the MO may net the respective Collection Allocations and Flowback Allocations at the customer level.	**31.5 NO AUCTION FLOWBACK AMOUNT SHALL ARISE OR BE COMPUTED FOR ANY SETTLEMENT PERIOD FALLING OUTSIDE THE WINNING BIDDER'S SETTLEMENT GUARANTEE PERIOD UNDER SECTION 30-A, WHICH SHALL BE LIMITED TO THE DURATION OF THE CONTRACT GRANTED UNDER THIS PROGRAM.**	Clarifies that the Auction Flowback mechanism operates within the same Settlement Guarantee Period as the corresponding Auction Shortfall mechanism. This ensures that the collection and flowback mechanisms apply consistently during the period in which the Winning Bidder is subject to the consumer-supported settlement framework.
32	**Section 32. PSPP-Based Settlement.** For Winning Bidders in a PSPP- Based Auction Round: 32.1 Power Supply Agreement. Each Winning Bidder shall execute a Power Supply Agreement (PSA) with each designated off-taker DU. The PSA shall provide for the supply of a contracted energy quantity (BCQ) at the endorsed GAP plus applicable Fuel Cost, in accordance with the approved Settlement Mechanism. 32.2 BCQ Declaration. The Winning Bidder shall declare its energy deliveries to each designated off-taker DU as Bilateral Contract Quantity (BCQ) in the	**Section 32. PSPP-Based Settlement**. For Winning Bidders in a PSPP-Based Auction Round: 32.1 Power Supply Agreement. Each Winning Bidder shall execute a Power Supply Agreement (PSA) with each designated off-taker DU. The PSA shall provide for the supply of a contracted energy quantity (BCQ) at the endorsed GAP ~~plus applicable Fuel Cost~~ **PLUS ANY COMMISSION-CERTIFIED ALLOWABLE ADDITIONAL FUEL COST RECOVERABLE THROUGH THE FCPT, LESS ANY CONSUMER SHARE OF FUEL PROCUREMENT SAVINGS DETERMINED UNDER SECTION 21**, in accordance with the approved Settlement Mechanism. 32.2 BCQ Declaration. The Winning Bidder shall declare its energy deliveries to each designated off-taker DU as Bilateral Contract Quantity (BCQ) in the	Aligns the PSPP-Based Settlement mechanism with the proposed inclusion of Fuel Costs in the Gas Auction Price. Since the GAP already incorporates the Fuel Cost included in the Winning Bidder's bid, the PSA and DU settlement should add only Commission-certified additional Fuel Costs and deduct any fuel procurement savings due to consumers. This prevents double recovery of Fuel Costs and ensures that consumers receive the benefit of applicable procurement savings.

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	WESM, in accordance with applicable WESM Rules on BCQ registration and declaration procedures. The BCQ shall correspond to the energy quantity actually deliverable to the DU under the PSA.	WESM, in accordance with applicable WESM Rules on BCQ registration and declaration procedures. The BCQ shall correspond to the energy quantity actually deliverable to the DU under the PSA.	
	32.3 DU Direct Settlement. The designated off-taker DU shall pay the Winning Bidder directly for the BCQ energy delivered, at the rate equal to the endorsed GAP plus the Commission-certified Fuel Cost per kWh for the applicable Settlement Period, in accordance with the terms of the PSA.	32.3 DU Direct Settlement. The designated off-taker DU shall pay the Winning Bidder directly for the BCQ energy delivered, at the rate equal to the endorsed GAP plus the ~~Commission-certified Fuel Cost per kWh~~ **COMMISSION-CERTIFIED ALLOWABLE ADDITIONAL FUEL COST PER KWH RECOVERABLE THROUGH THE FCPT, LESS ANY CONSUMER SHARE OF FUEL PROCUREMENT SAVINGS DETERMINED UNDER SECTION 21**, for the applicable Settlement Period, in accordance with the terms of the PSA.	Aligns DU Direct Settlement with the proposed treatment of Fuel Costs under the GAT Price and FCPT. As Fuel Costs are already incorporated into the Winning Bidder's Price Offer and resulting GAP, only allowable additional Fuel Costs above the amount already reflected in the GAP should be recoverable through the FCPT. The deduction of the consumer share of Fuel Procurement Savings further ensures that any savings determined under Section 21 are reflected in the amount ultimately paid by consumers. This avoids double recovery of Fuel Costs and ensures consistent application of the proposed fuel cost and savings mechanisms across settlement arrangements.
	32.4 Billing and Collection. The DU shall recover the costs paid to the Winning Bidder through its generation cost component as approved by the Commission under the DU's regulatory framework, subject to such pass-through conditions and review mechanisms as the Commission may prescribe.	32.4 Billing and Collection. The DU shall recover the costs paid to the Winning Bidder through its generation cost component as approved by the Commission under the DU's regulatory framework, subject to such pass-through conditions and review mechanisms as the Commission may prescribe.	
	32.5 WESM Top-Up or Shortfall Mechanism. The Settlement Mechanism shall provide for a reconciliation between the BCQ energy quantities and the actual metered output of the Winning Bidder. Where actual output exceeds the DU's BCQ, the excess energy shall be settled through the normal WESM market. Where	32.5 WESM Top-Up or Shortfall Mechanism. The Settlement Mechanism shall provide for a reconciliation between the BCQ energy quantities and the actual metered output of the Winning Bidder. Where actual output exceeds the DU's BCQ, the excess energy shall be settled through the normal WESM market. Where	

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	actual output falls below the DU's BCQ, the Winning Bidder shall be liable for any deficiency costs in accordance with the PSA and the WESM Rules.	actual output falls below the DU's BCQ, the Winning Bidder shall be liable for any deficiency costs in accordance with the PSA and the WESM Rules.	
33	**Section 33. Carve-Out Mechanism.** Where a designated off-taker DU experiences migration of its captive customers to the Customer Choice Program in the Retail Market, the contracted BCQ of each Winning Bidder/s supplying that DU shall be proportionally reduced, in proportion to each Winning Bidder/s' respective share of the DU's total contracted BCQ, to reflect the reduction ni the DUs' customer load, in accordance with the following: 33.1 The DU shall notify each affected Winning Bidder/s and the MO of the volume of customer migration and the effective date of the reduction in its captive load; 33.2 The BCQ attributable to the migrated load shall be released from the DU's contracted quantity on a pro rata basis across all affected Winning Bidders, and each affected Winning Bidder shall be entitled to sell its corresponding freed-up capacity and energy in the WESM as uncontracted spot quantity, or to execute supply agreements with the migrating customers (whether as retail electricity suppliers or otherwise); 33.3 The Commission and the MO shall include the carve-out adjustment formula in the Settlement Mechanism, ensuring that neither the DUs remaining captive customers nor any affected Winning Bidder is prejudiced by the carve-out process.	**Section 33. Carve-Out Mechanism**. Where a designated off-taker DU experiences migration of its captive customers to the Customer Choice Program in the Retail Market, the contracted BCQ of each Winning Bidder/s supplying that DU shall be proportionally reduced, in proportion to each Winning Bidder/s' respective share of the DU's total contracted BCQ, to reflect the reduction in the DU's customer load, in accordance with the following: 33.1 The DU shall notify each affected Winning Bidder/s and the MO of the volume of customer migration and the effective date of the reduction in its captive load; 33.2 The BCQ attributable to the migrated load shall be released from the DU's contracted quantity on a pro rata basis across all affected Winning Bidders, and each affected Winning Bidder shall be entitled to sell its corresponding freed-up capacity and energy in the WESM as uncontracted spot quantity, or to execute supply agreements with the migrating customers (whether as retail electricity suppliers or otherwise); 33.3 The Commission and the MO shall include the carve-out adjustment formula in the Settlement Mechanism, ensuring that neither the DUs remaining captive customers nor any affected Winning Bidder is prejudiced by the carve-out process; **PROVIDED, THAT THE REDUCTION OF A WINNING BIDDER'S CONTRACTED BCQ PURSUANT TO THIS SECTION SHALL NOT, BY ITSELF, GIVE RISE TO ANY**	Clarifies that implementation of the Carve-Out Mechanism should not result in additional costs being imposed on the DU's remaining captive customers solely as a consequence of customer migration or reductions in captive load. Winning Bidders retain the ability to sell the released capacity and energy through the

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	33.4 Application to Demand Response Programs and RPS Compliance. The carve-out mechanism under this Section shall likewise apply, on the same proportionate basis among affected Winning Bidder/s and subject to the same notice, release, and settlement mechanics prescribed in Sections 33.1 to 33.3 herein, to reductions in a DU's captive customer load arising from the DU's implementation of Demand Response Programs - including but not limited to Net Metering and Distributed Energy Resources (DER) programs - as well as from customer compliance with the Renewable Portfolio Standards (RPS).	**ADDITIONAL COMPENSATION OR COST RECOVERY FROM THE DU'S REMAINING CAPTIVE CUSTOMERS.** 33.4 Application to Demand Response Programs and RPS Compliance. The carve-out mechanism under this Section shall likewise apply, on the same proportionate basis among affected Winning Bidder/s and subject to the same notice, release, and settlement mechanics prescribed in Sections 33.1 to 33.3 herein, to reductions in a DU's captive customer load arising from the DU's implementation of Demand Response Programs - including but not limited to Net Metering and Distributed Energy Resources (DER) programs - as well as from customer compliance with the Renewable Portfolio Standards (RPS).	WESM or other permissible arrangements, while remaining consumers are protected from bearing costs associated with energy no longer required by the DU.
34	**Section 34. Market Operator Cost Recovery.** Pursuant to Section 19.2.4 of the Gas Auction Circular, the MO may apply to the Commission for the recovery of prudent and reasonable costs incurred in administering the Settlement Mechanism, including system development costs, information technology upgrades, personnel, and administrative overhead directly attributable to the Mid-Merit Natural Gas Capacity Auction Program. Such application shall be supported by a detailed cost justification and shall be subject to Commission review and approval before any cost recovery is allowed.	**Section 34. Market Operator Cost Recovery**. Pursuant to Section 19.2.4 of the Gas Auction Circular, the MO may apply to the Commission for the recovery of prudent and reasonable costs incurred in administering the Settlement Mechanism, including system development costs, information technology upgrades, personnel, and administrative overhead directly attributable to the Mid-Merit Natural Gas Capacity Auction Program. Such application shall be supported by a detailed cost justification and shall be subject to Commission review and approval before any cost recovery is allowed. **THE COMMISSION SHALL ENSURE THAT ANY COST APPROVED FOR RECOVERY IS NECESSARY, REASONABLE, DIRECTLY ATTRIBUTABLE TO THE ADMINISTRATION OF THE SETTLEMENT MECHANISM, AND DOES NOT DUPLICATE COSTS ALREADY RECOVERED BY THE MO THROUGH EXISTING MARKET FEES OR OTHER**	Strengthens consumer protection by ensuring that costs incurred in administering the Settlement Mechanism are necessary and directly attributable to the Program, and prevents the duplicate recovery of costs already recovered through existing market fees or other ERC-approved charges.

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		COMMISSION-APPROVED CHARGES.	
35	**Section 35. ERC Approval Condition.** The MO shall not commence settlement transactions under these Rules, until all of the following conditions have been satisfied: 35.1 The Commission has reviewed and issued its approval of the Settlement Mechanism submitted pursuant to Section 27 of these Rules; and 35.2 The WESM Governance Arm has issued a written certification that the market systems and information technology infrastructure of the WESM are compliant with the Settlement Mechanism and are capable of accurately computing, processing, and auditing the relevant settlements. 35.3 Any settlement or payment made under interim arrangements prescribed by the DOE pursuant to Section 2 of the Gas Auction Circular, prior to the satisfaction of the conditions under Sections 35.1 and 35.2, shall be reconciled against the Settlement Mechanism approved by the Commission and the Fuel Cost certified under Rule 4 of these Rules, once implemented, and any resulting over- or under-recovery shall be adjusted in the manner provided in the applicable provisions of the WESM Manual. The Commission shall act on the MO's submission	**Section 35. ERC Approval Condition.** The MO shall not commence settlement transactions under these Rules, until all of the following conditions have been satisfied: 35.1 The Commission has reviewed and issued its approval of the Settlement Mechanism submitted pursuant to Section 27 of these Rules; and 35.2 The WESM Governance Arm has issued a written certification that the market systems and information technology infrastructure of the WESM are compliant with the Settlement Mechanism and are capable of accurately computing, processing, and auditing the relevant settlements. 35.3 Any settlement or payment made under interim arrangements prescribed by the DOE pursuant to Section 2 of the Gas Auction Circular, prior to the satisfaction of the conditions under Sections 35.1 and 35.2, shall be reconciled against the Settlement Mechanism approved by the Commission and ~~the Fuel Cost certified under Rule 4 of these Rules~~ **ANY COMMISSION-CERTIFIED ALLOWABLE ADDITIONAL FUEL COST RECOVERABLE THROUGH THE FCPT AND ANY CONSUMER SHARE OF FUEL PROCUREMENT SAVINGS DETERMINED UNDER SECTION 21**, once implemented, and any resulting over- or under-recovery shall be adjusted in the manner provided in the applicable provisions of the WESM Manual. The Commission shall act on the MO's submission	Enables the ERC to ensure that interim settlements are reconciled consistently with the consumer-protection safeguards under the Rules. Accounting for both allowable additional Fuel Costs and Fuel Procurement Savings prevents double recovery of Fuel Costs and ensures that savings due to consumers are reflected in the final settlement.

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	within forty-five (45) calendar days of receipt of a complete submission. If the Commission requires clarifications or modifications, it shall notify the MO within this period, and the MO shall respond within fifteen (15) calendar days. The Commission shall issue its final approval or denial within thirty (30) calendar days from receipt of the MOs' response.	within forty-five (45) calendar days of receipt of a complete submission. If the Commission requires clarifications or modifications, it shall notify the MO within this period, and the MO shall respond within fifteen (15) calendar days. The Commission shall issue its final approval or denial within thirty (30) calendar days from receipt of the MOs' response.	
POST-AWARD MONITORING AND COMPLIANCE VERIFICATION			
36	**Section 36. Periodic Reports.** Each Winning Bidder shall submit the following reports to the Commission, in such format as the Commission may prescribe: (a) Monthly Operations and Fuel Cost Report - as provided under Section 22 of these Rules, within fifteen (15) calendar days after each calendar month, covering the fuel cost data required under Section 2 together with: actual generation output (kWh and % capacity factor), actual heat rate, fuel consumption by source type, source and pricing of gas procured, add-on costs incurred, any material changes in gas supply arrangements, and any force majeure or curtailment events affecting fuel supply or generation; (b) Annual Audited Financial Report - within ninety (90) calendar days after each fiscal year-end, covering all revenues received through the Settlement Mechanism,	**Section 36. Periodic Reports**. Each Winning Bidder shall submit the following reports to the Commission, in such format as the Commission may prescribe: (a) Monthly Operations and Fuel Cost Report - as provided under Section 22 of these Rules, within **TEN (10)** ~~fifteen (15)~~ calendar days after each calendar month, covering the fuel cost data required under ~~Section 2~~ **SECTION 22** together with: actual generation output (kWh and % capacity factor), actual heat rate, fuel consumption by source type, source and pricing of gas procured, add-on costs incurred, **ANY ALLOWABLE ADDITIONAL FUEL COST CLAIMED THROUGH THE FCPT, ANY FUEL PROCUREMENT SAVINGS DETERMINED UNDER SECTION 21 AND THE RESPECTIVE SHARES OF THE WINNING BIDDER AND CONSUMERS**, any material changes in gas supply arrangements, and any force majeure or curtailment events affecting fuel supply or generation; (b) Annual Audited Financial Report - within ninety (90) calendar days after each fiscal year-end, covering all revenues received through the Settlement Mechanism,	Sections 22 and 36(a) prescribe different submission periods for the same Monthly Fuel Cost Report: ten (10) calendar days and fifteen (15) calendar days, respectively. Provides the ERC with a continuing means of verifying whether the Fuel Cost mechanism has operated correctly over time. Requiring the annual audited report to reconcile both additional Fuel Costs recovered and Fuel Procurement Savings shared enables the ERC to identify discrepancies and ensure that consumers are charged only the amounts properly recoverable under the Rules. Provides the ERC with a continuing means of verifying whether the Fuel Cost mechanism has operated correctly over

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	all fuel costs incurred, and a reconciliation of FCPT claims versus actual certified amounts; and (c) Project Construction Progress Report (pre-COD) - on a quarterly basis from the date of the Certificate of Award to the Commercial Operations Date, covering EPC progress, financing status, and any material changes in project cost.	all fuel costs incurred, and a reconciliation of ~~FCPT claims versus actual certified amounts~~ **ALLOWABLE ADDITIONAL FUEL COSTS CLAIMED THROUGH THE FCPT AGAINST THE AMOUNTS CERTIFIED BY THE COMMISSION, AND FUEL PROCUREMENT SAVINGS DETERMINED AND SHARED PURSUANT TO SECTION 21**; and (c) Project Construction Progress Report (pre-COD) - on a quarterly basis from the date of the Certificate of Award to the Commercial Operations Date, covering EPC progress, financing status, and any material changes in project cost.	time. Requiring the annual audited report to reconcile both additional Fuel Costs recovered and Fuel Procurement Savings shared enables the ERC to identify discrepancies and ensure that consumers are charged only the amounts properly recoverable under the Rules.
37	**Section 37. ERC Verification Inspections.** The Commission or its duly authorized representatives shall have the right, upon reasonable notice (which shall not be less than five (5) business days except in cases of suspected fraud or material non-compliance), to conduct on-site inspections of Mid-Merit Natural Gas Facilities to: (a) Verify actual fuel consumption, storage, and delivery records against reported figures; (b) Conduct or witness performance tests to verify actual Heat Rate; (c) Inspect gas metering and measurement equipment and calibration records; and (d) Review original copies of GSPAs, invoices, and all documentation submitted in support of Fuel Cost Pass-Through claims.	**Section 37. ERC Verification Inspections**. The Commission or its duly authorized representatives shall have the right, upon reasonable notice (which shall not be less than five (5) business days except in cases of suspected fraud or material non-compliance), to conduct on-site inspections of Mid-Merit Natural Gas Facilities to: (a) Verify actual fuel consumption, storage, and delivery records against reported figures; (b) Conduct or witness performance tests to verify actual Heat Rate; (c) Inspect gas metering and measurement equipment and calibration records; and (d) Review original copies of GSPAs, invoices, and all documentation submitted in support of ~~Fuel Cost Pass-Through claims~~ **ANY ADDITIONAL FUEL COST CLAIMED THROUGH THE FCPT AND ANY FUEL PROCUREMENT SAVINGS DETERMINED UNDER**	Strengthens the ERC's ability to independently verify the Fuel Costs and procurement savings that directly affect amounts borne by consumers. Extending inspection powers to both additional Fuel

		SECTION 21.	Costs claimed through the FCPT and Fuel Procurement Savings enables the ERC to verify the underlying records at source and ensure that consumers are charged only allowable costs and receive the savings due to them.
	FINAL PROVISIONS		
38	**Section 38. Penalty Clause.** Any violation of these Rules, including the submission of false or misleading documentation in connection with a Fuel Cost Pass-Through claim, the failure to comply with reporting obligations, the implementation of the Settlement Mechanism without Commission approval, or the obstruction of a Commission audit, shall be subject to the applicable fines and penalties prescribed under Section 46 of EPIRA, including: (a) A fine of not less than Fifty Thousand Pesos (PhP50,000.00) but not more than Fifty Million Pesos (PhP50,000,000.00) per violation, the amount of which shall be determined by the Commission taking into account the gravity and duration of the violation, the extent of damage caused to consumers, and the degree of culpability; (b) The suspension or revocation of the authority of the Winning Bidder to participate in future Auction Rounds, as may be recommended to the DOE; and (c) Criminal prosecution where warranted under applicable law. The Commission's power to impose penalties under		

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	this Section shall be in addition to, and not in lieu of, any right of the Commission to direct the refund of disallowed Fuel Costs or other amounts improperly charged to consumers.		
39	**Section 39. Separability Clause.** If any provision of these Rules or the application thereof to any person or circumstance is held invalid by a court of competent jurisdiction, the remaining provisions shall continue to be valid and enforceable, and the invalid provision shall be severed and shall not affect the validity of the remaining provisions.		
40	**Section 40. Repealing Clause.** All previous issuances of the Commission inconsistent with these Rules are hereby superseded, amended, or modified accordingly. Any ERC order, resolution, circular, or directive previously issued that conflicts with these Rules shall be deemed modified to the extent of the inconsistency.		
41	**Section 41. Effectivity.** This Resolution shall take effect fifteen (15) days after its publication (a) in the Official Gazette or in a newspaper of general circulation in the Philippines, and (b) on the Commission's official website: Provided, That a certified copy of this Resolution shall be filed with the University of the Philippines Law Center - Office of the National Administrative Register (ONAR), in accordance with Book VII, Chapter 2 of the Revised Administrative Code of 1987.		

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